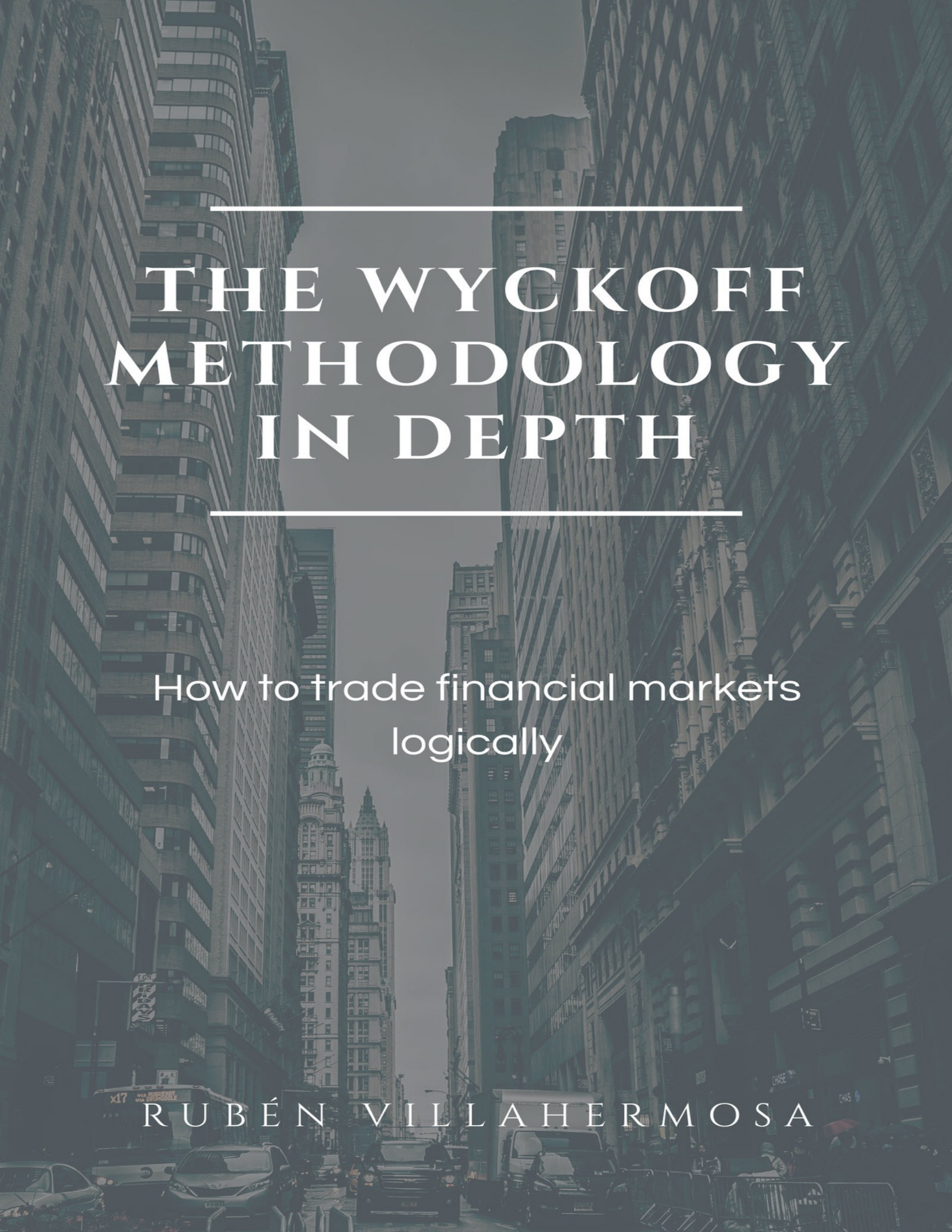




THE WYCKOFF METHODOLOGY IN DEPTH

How to trade financial markets
logically

RUBÉN VILLAHERMOSA

The Wyckoff Methodology in Depth

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Rubén Villahermosa

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Bibliography



Richard Wyckoff

Richard Wyckoff

Richard Wyckoff (1873-1934) became a Wall Street celebrity.

He was a forerunner in the investment world as he started as a stockbroker at the age of 15 and by the age of 25 already owned his own brokerage firm.

The method he developed of technical analysis and speculation arose from his observation and communication skills.

Working as a Broker, Wyckoff saw the game of the big operators and began to observe through the tape and the graphics the manipulations they carried out and with which they obtained high profits.

He stated that it was possible to judge the future course of the market by its own actions since the price action reflects the plans and purposes of those who dominated it.

Wyckoff carried out its investment methods achieving a high return. As time passed his altruism grew until he redirected his attention and passion to education.

He wrote several books as well as the publication of a popular magazine of the time "Magazine of Wall Street".

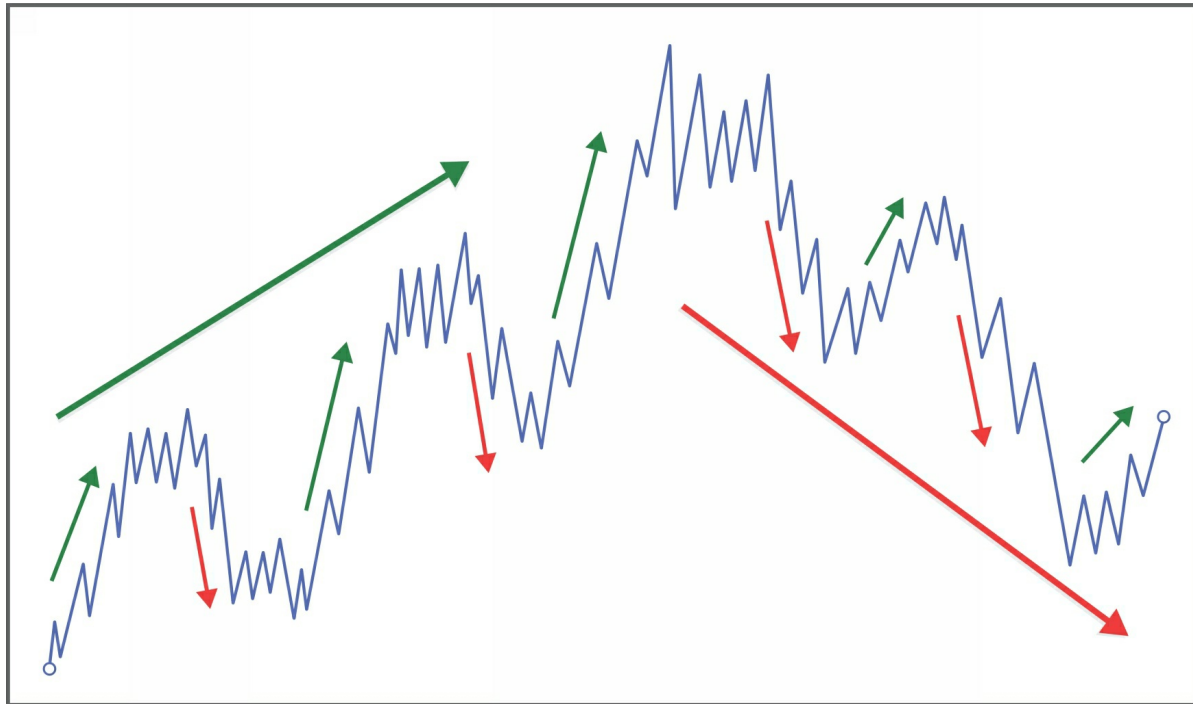
He felt compelled to compile the ideas he had gathered during his 40 years of Wall Street experience and bring them to the attention of the general public. I wanted to offer a set of principles and procedures about what it takes to win on Wall Street.

These rules were embodied in the 1931 course "The Richard D. Wyckoff Method of Trading and Investing Stocks. A course of Instruction in Stock

Market Science and Technique" becoming the well known Wyckoff method.

Part 1 - How Markets Move

Chapter 1 - Waves



Movements by waves

Wyckoff and the first readers of the tape understood that the movements of the price do not develop in periods of time of equal duration, but that they do it in waves of different sizes, for this reason they studied the relation between the upward and downward waves.

The price does not move between two points in a straight line; it does so in a wave pattern. At first glance they seem to be random movements, but this is not the case at all. The price is shifted up and down by fluctuations.

Waves have a fractal nature and interrelate with each other; lower grade waves are part of intermediate grade waves, and these in turn are part of higher grade waves.

Each uptrend and downtrend is made up of numerous minor uptrend and downtrend waves. When one wave ends, another wave starts in the opposite direction. By studying and comparing the relationship between waves; their duration, velocity and range, we will be able to determine the nature of the

trend.

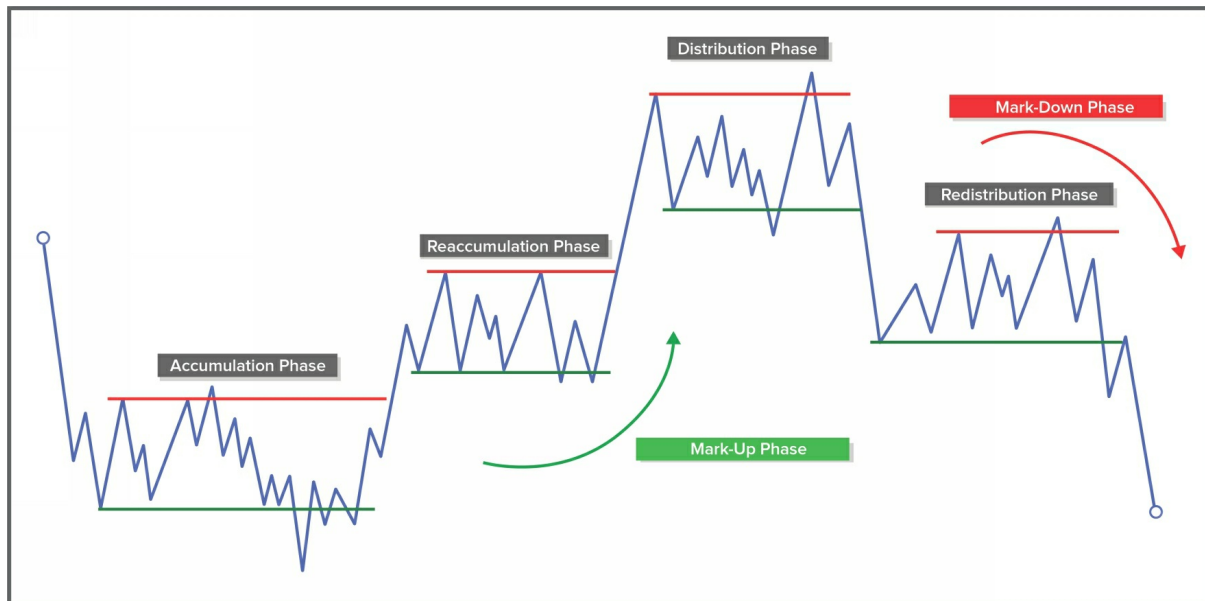
Wave analysis provides a clear picture of the relative changes between supply and demand and helps us judge the relative strength or weakness of buyers and sellers as price movement progresses.

Through judicious wave analysis, the ability to determine the end of waves in one direction and the beginning in the opposite direction will gradually develop.

Chapter 2 - The price cycle

In the basic structure of the market there are only two types of training:

- Trends. These can be bullish if they go up, or bearish if they go down.
- Trading ranges. They can be of accumulation if they are at the beginning of the cycle, or of distribution if they are in the high part of the cycle.



The price cycle

As we have already seen, the displacement of the price during these Phases is done by means of waves.

During the accumulation phase, professional operators buy all the stock that is available for sale on the market. When they are assured by various manoeuvres that there is no longer any floating bid, they begin the upward trend phase. This trend Phase is about the path of least resistance. Professionals have already verified that they will not encounter too much resistance (supply) that would prevent the price from reaching higher levels. This concept is very important because until they prove that the road is free (absence of sellers), they will not initiate the upward movement; they will carry out test maneuvers again and again. In case the offer is overwhelming, the path of least resistance will be down and the price at that point can only fall.

During the uptrend, buyers' demand is more aggressive than sellers' supply.

At this stage there is the participation of large operators who are less well informed and the general public whose demand shifts the price upwards. The movement will continue until buyers and sellers consider the price to have reached an interesting level; buyers will see it as valuable to close their positions; and sellers will see it as valuable to start taking short positions.

The market has entered the distribution phase. A market ceiling will be formed and it is said that the big operators are finishing distributing (selling) the stock they previously bought. There is the entry of the last greedy buyers as well as the entry for sale of well-informed operators.

When they find that the path of least resistance is now down, they begin the downtrend phase. If they see that demand is present and with no intention of giving up, this resistance to lower prices will only leave a viable path: upward. If you continue to climb after a pause, this structure will be identified as a reaccumulation phase. The same is true for the bearish case: if the price comes in a bearish trend and there is a pause before continuing the fall, that lateral movement will be identified as a redistribution phase.

During the downtrend sellers' supply is more aggressive than buyers' demand so only lower prices can be expected.

Being able to determine at what stage of the price cycle the market is at is a significant advantage. Knowing the general context helps us avoid entering the wrong side of the market. This means that if the market is in a bullish phase after accumulation we will avoid trading short and if it is in a bearish phase after distribution we will avoid trading long. You may not know how to take advantage of the trend movement; but with this premise in mind, you will surely avoid having a loss by not attempting to trade against the trend.

When the price is in phases of accumulation or uptrend it is said to be in a buying position, and when it is in Phases of distribution or downtrend it is said to be in a selling position. When there is no interest, that no campaign has been carried out, it is said to be in neutral position.

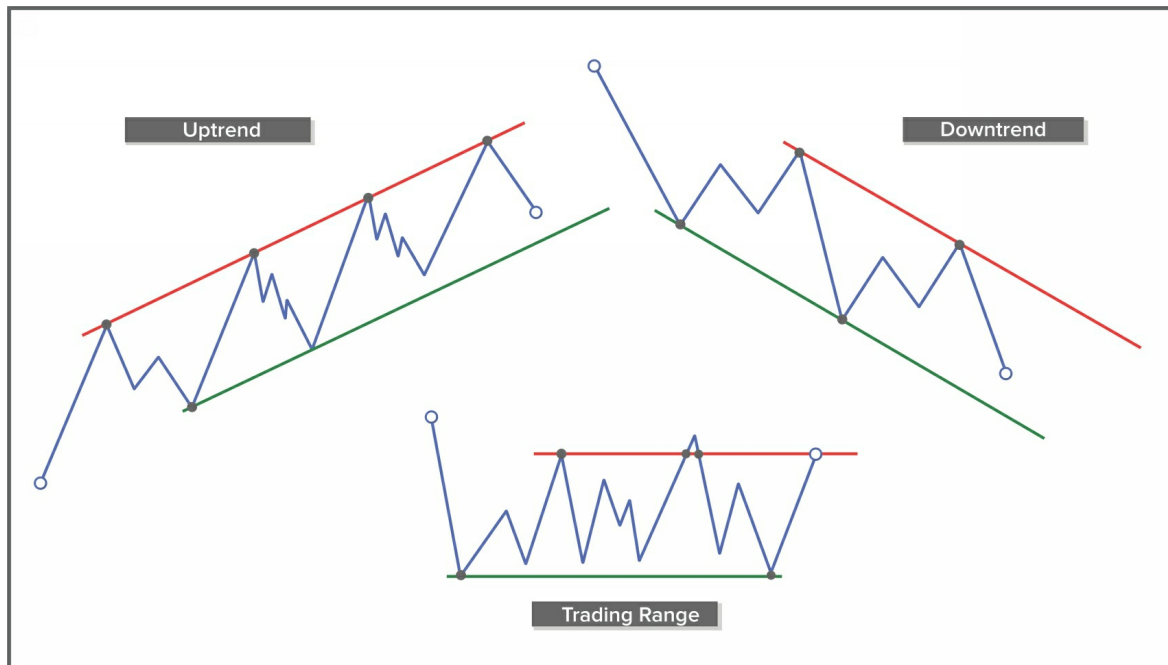
A cycle is considered to be complete when all stages of the cycle are observed: accumulation, uptrend, distribution, and downtrend. These complete cycles occur in all temporalities. This is why it is important to take into account all the time frames; because each of them can be at different stages. It is necessary to contextualize the market from this point of view in order to carry out a correct analysis of it.

Once you learn to correctly identify the four price phases and assume a totally impartial viewpoint, away from news, rumors, opinions and your own prejudices, taking advantage of your operative will be relatively easier.

Chapter 3 - Trends

Prices change and the waves resulting from those price changes generate trends. The price is moved by a series of waves in the direction of the trend (impulses), which are separated by a series of waves in the opposite direction (reversals).

Types of trends



The trend is simply the line of least resistance as the price moves from one point to another because it follows the path of least resistance; therefore, the trader's job is to identify the trend and trade in harmony with it.

When a market is rising and encounters resistance (sales), either exceeds that resistance or the price will turn; the same happens when the price is falling and encounters resistance; either exceeds those purchases or the price will turn. These pivot points are critical moments and provide excellent locations to operate.

Depending on the direction of movement, we can differentiate three types of trends: bullish, bearish and lateral. The most objective description of an uptrend is when the price makes a series of rising impulses and falls, where highs and lows are increasing all the time. Similarly, we identify a bearish trend when highs and lows are decreasing, leaving a series of decreasing

impulses and regressions. Finally, we determine a sideways environment when highs and lows remain fluctuating within a price range.

Trends are divided by their duration into three different categories; long, medium and short term. Since there are no strict rules for classifying them according to the timeframe, they can be categorized according to how they fit into the top. That is, the short term trend will be observed within the medium term trend, which in turn will be within the long term trend.

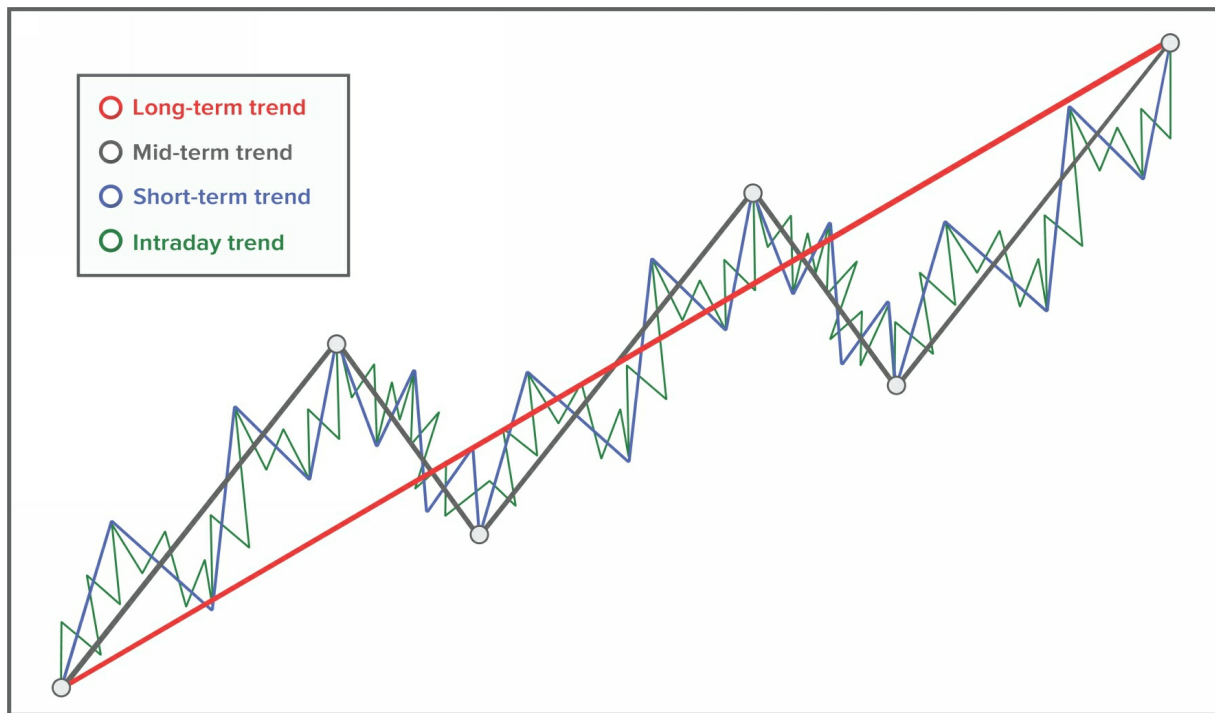
Types of trends

Note that all three trends may not move in the same direction. This can present potential problems for the operator. In order to be effective, doubts must be eliminated as much as possible and the way to do this is to identify in advance the type of trading to be carried out.

A very important condition to take into account when selecting the type of trading is the Timing (entry calibration). Success in any kind of operative mainly requires a good Timing; but success in short term trading requires a perfect Timing. Because of this, a beginner should start with long-term trading until he achieves consistent success.

Because trends may be different depending on the time frame, it is possible but difficult to have buy and sell positions at the same time. If the medium-term trend is bullish, you can take a buy position with the expectation of holding it for a few weeks or months; and if in the meantime a short term bearish trend appears, you can take a short sell position and hold the buy trade at the same

Temporalities



time.

Although theoretically possible, it is extremely difficult to maintain the discipline necessary to maintain both positions at the same time. Only experienced operators should do this. For the initiate it is best to operate in harmony with the trend and not to operate on both sides simultaneously until consistently profitable.

You must learn and understand the motives, behavior patterns, and emotions that control the market. A bull market is driven by greed, while a bear market is driven by fear. These are the main emotions that drive the markets. Greed leads to paying higher prices until it leads to what is known as an overbought condition. On the other hand, the panic caused by falls leads to wanting to get rid of positions and sell, adding more momentum to the collapse until over-selling conditions are reached.

Having these emotions is not a negative thing, as long as they know how to move towards a positive aspect and it is very clear that what is really important is the protection of capital.

Chapter 4 - Assessing trends

This interaction between supply and demand as a trend develops will leave clues in the conformation of the price action. We have different tools to help us assess trends.

Judiciously assessing the trend is key to determining your health. It allows us to detect if any force gives symptoms of weakness or if the opposing force is gaining strength. Our job is to go for strength and against weakness.

Strength/weakness analysis

When the price is in trend, we expect greater strength from the pushing side. We have to see it as a battle between buyers and sellers where we will try to analyze the strength or weakness of both. The best way to assess current strength/weakness is to compare it with previously developed movements.

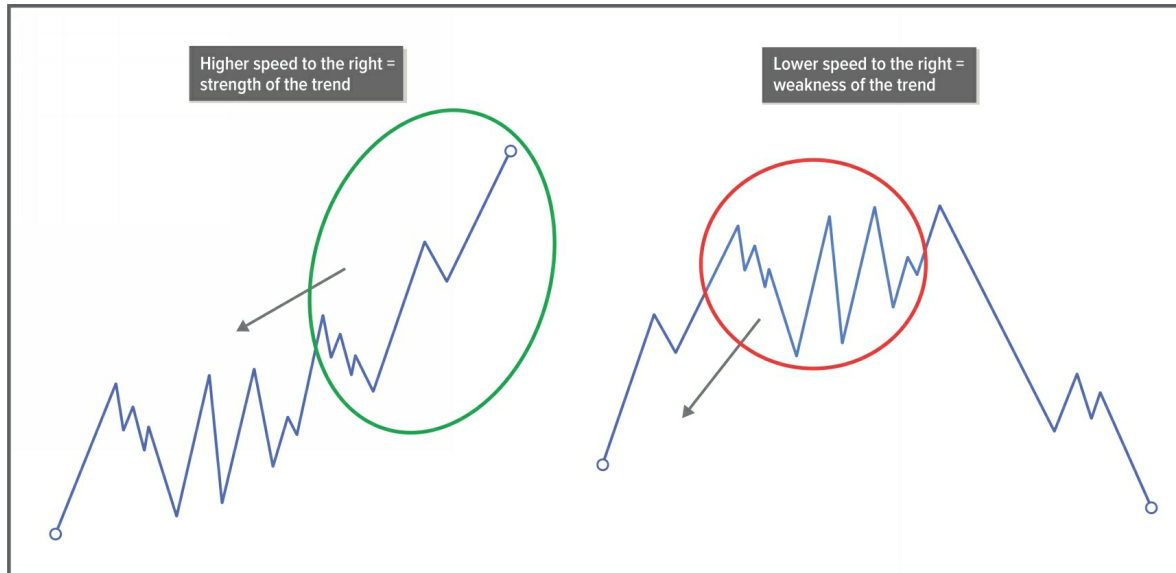
A weakness in the price does not imply a change of trend, it is simply a sign of loss of strength and tells us that we must be prepared for future movements.

There are several ways to analyze market strength/weakness. The key is comparison. Absolute values are not sought. It is a question of comparing the current movements with the previous ones.

Speed

Speed refers to the angle at which the price moves; so if the price is moving faster than in the past, there is strength. If on the other hand it is moving slower than in the past, it suggests weakness.

Speed Analysis



Projection

With this tool we evaluate the distance that the impulses travel and compare them with the previous ones to determine if the strength has increased or decreased.

For a trend to remain alive, each impulse must surpass the previous impulse. If an impulse is not able to make new progress in the direction of the trend, it is an alert that the movement may be nearing its end.

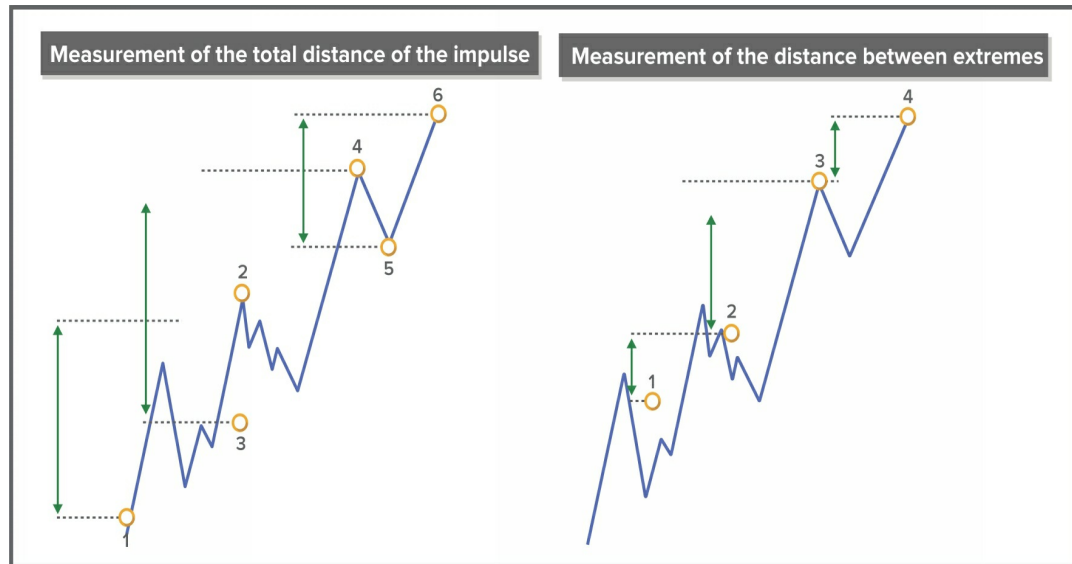
Distance of the impulse:

- The distance between 3 and 4 is greater than the distance between 1 and 2 = trend strength.
- The distance between 5 and 6 is less than the distance between 3 and 4 = trend weakness.

Distance between extremes:

- The distance between 2 and 3 is greater than the distance between 1 and 2 = trend strength.

Projection Analysis

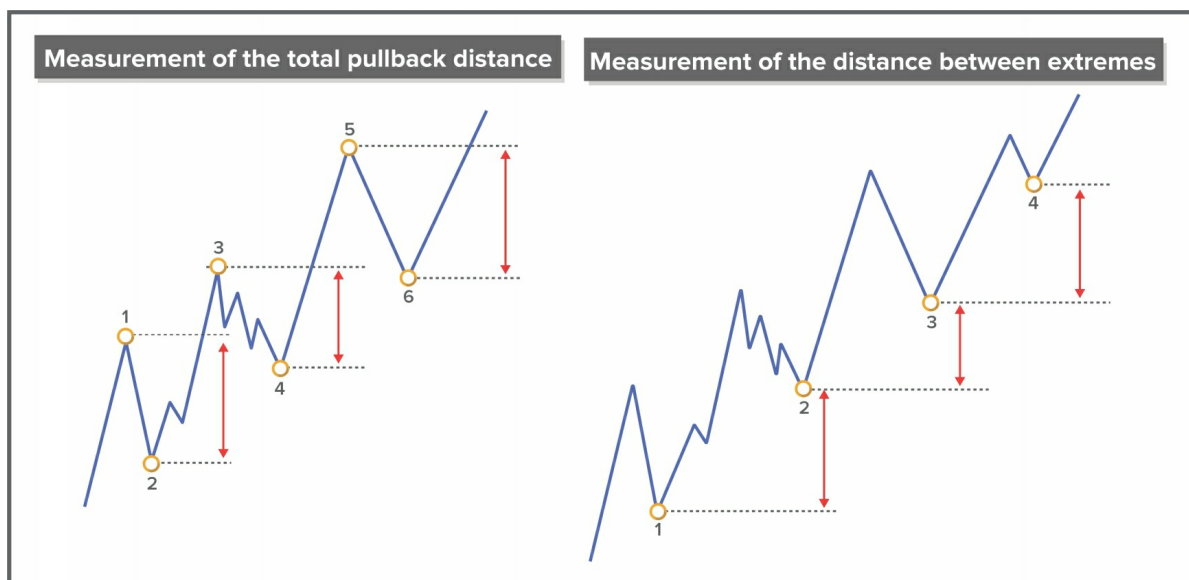


The distance between 3 and 4 is less than the distance between 2 and 3 = trend weakness.

Depth

With depth analysis we evaluate the distance travelled by trend reversals to determine whether weakness has increased or decreased.

Depth Analysis



As with projection analysis, we can evaluate depth using two measurements: the total distance of the recoil from its origin to its end; and the distance the price

travels from the previous end to the new end.

Pullback distance:

- The distance between 3 and 4 is less than the distance between 1 and 2 = trend strength.
- The distance between 5 and 6 is greater than the distance between 3 and 4 = trend weakness.

Distance between extremes:

- The distance between 2 and 3 is less than the distance between 1 and 2 = trend weakness.
- The distance between 3 and 4 is greater than the distance between 2 and 3 = trend strength.

Lines

The lines delimit the ranges and define the angle of advance of a trend. They are of great visual aid for the analyses, being very useful to evaluate the health of the movement; so much to identify when the price reaches a condition of exhaustion, as to value a possible turn in the market.

In general they help us to foresee levels of support and resistance at which to wait for the price. At the same time, an approach or touch of those lines suggests the search for additional signs to look for a turn, offering diverse operative opportunities.

The more touches a line has, the more validity the level for the analysis will have. You must be careful not to draw lines indiscriminately, especially on every minor movement. The correct handling of lines requires good judgment; otherwise it will cause confusion in your reasoning.

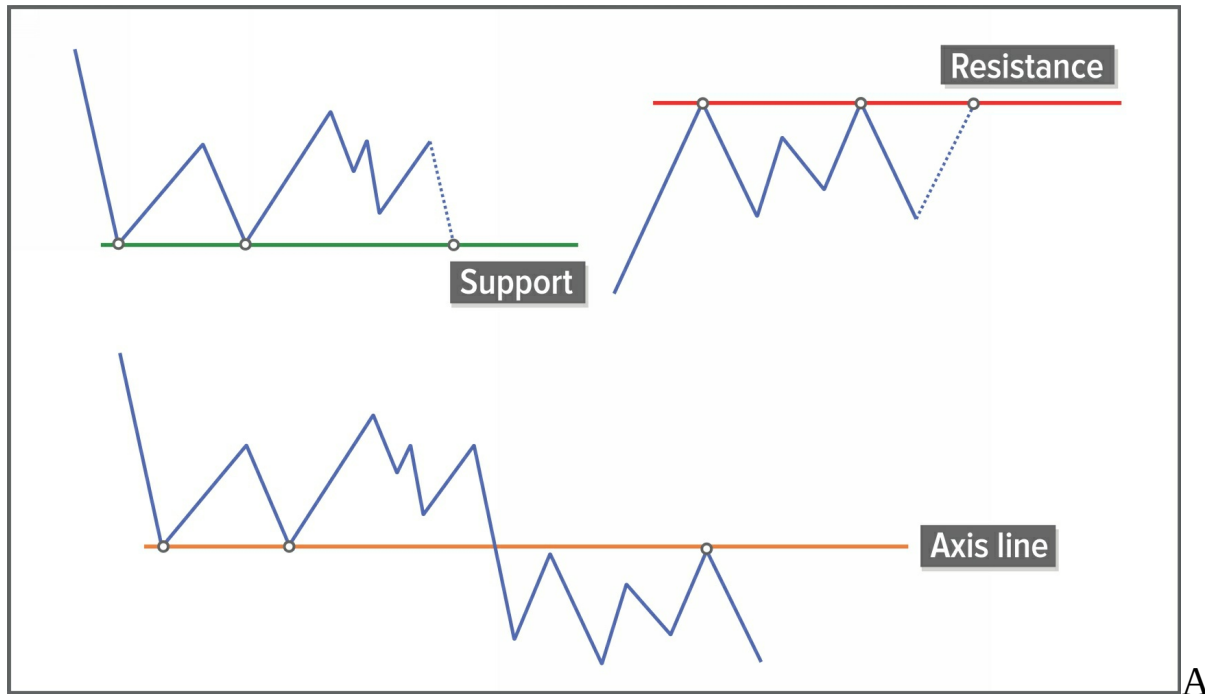
When the price penetrates a line we must remain more alert and be prepared to act. Depending on the position where the break occurs, as well as the action itself, we can suggest different scenarios. A thorough understanding of price and volume action is needed to determine the most likely scenarios.

Horizontal lines

A horizontal line identifies an old zone of imbalance between supply and

demand. When it connects at least two price minima it identifies a support. This is an area where buyers appeared in the past to outdo sellers and stop the price drop. On that area it is expected that buyers will appear again when it is visited again.

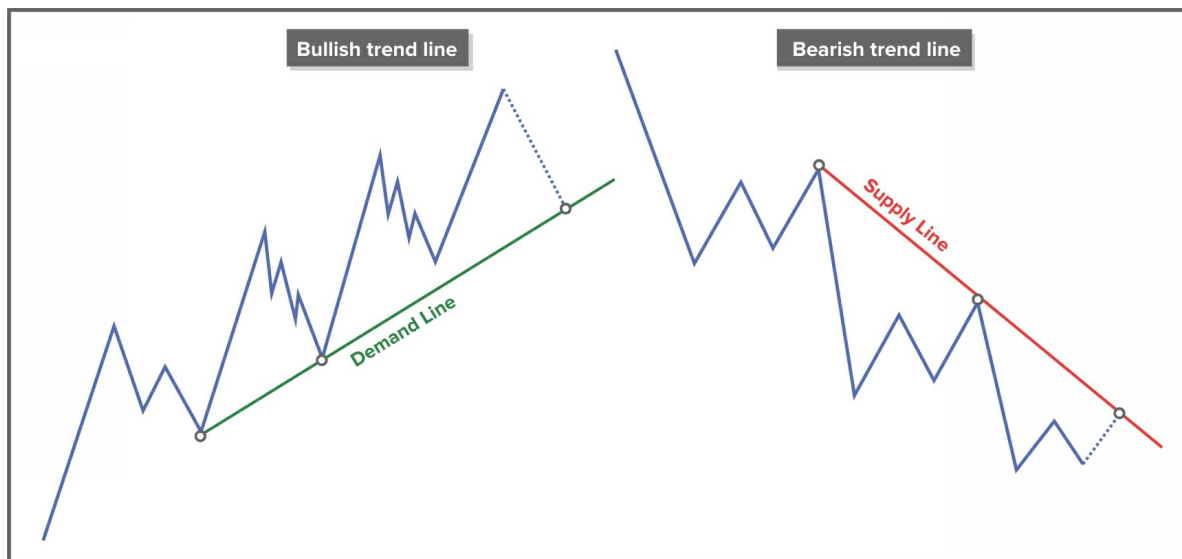
Horizontal lines



horizontal line connecting at least two highs identifies a resistance and is an area where supply outpaced demand by stopping a price hike; that is why sellers are expected to reappear on a new visit in the future.

When a line serves both as support and resistance, it is known as a shaft line. Prices tend to revolve around those axis lines. Those price levels are constantly changing roles; a broken resistor becomes a support, and a broken support becomes a resistor.

Trend lines



Trend lines

After identifying the nature of the trend, the next step is to build a guideline in order to take advantage of the movement. It is the simple connection between two or more price points.

In a bearish trend, the trend line is drawn by connecting two decreasing highs. This line is called the bid line because it is assumed that the sellers will appear on it.

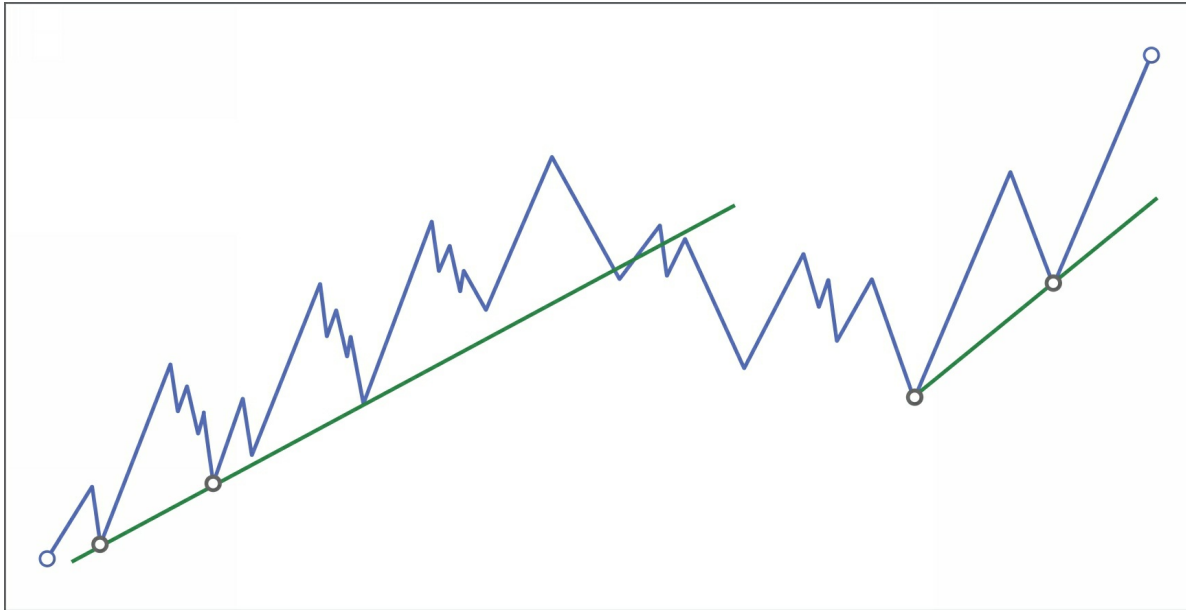
In an uptrend, the trendline is drawn by connecting two rising lows. This line is called a demand line because it marks the point where buyers are supposed to appear.

We can continuously readjust the trend lines in order to adjust the one that best suits the price action and therefore generated the most touches. The more times the line has been respected, the stronger we will be able to interpret it when it is played again in the future.

Note that a line with too much slope will be broken too soon, so it will not be drawn correctly.

As long as the price remains within the established levels, it is said that the movement is healthy and it is appropriate to consider maintaining or adding positions.

Example of false trend line breakage



When the price approaches a trend line there is a threat of breakout and this may mean that the strength of the trend is being exhausted, suggesting a change in the speed of the trend or a definite danger of reversal of the trend.

Breakout a trend line by itself is not a conclusive symptom of anything, as it may be a true or false break. What is significant is how the line is broken, the conditions under which it happens, and the behavior that precedes it.

After a movement of a certain distance, the price may find resistance to continue and this will cause the trend to change its speed and rest. During the break (lateral movement or range) the force that originally drove the trend may be renewed or even strengthened, resulting in a continuation of the trend with greater momentum than before.

Under these conditions, it is necessary to reposition the trend lines to conform to the new set angle. For this reason it should not be accepted that the mere fact of breakout the trend line is a reversal of the same.

Channels

The ideal channel will have several touch points and should capture most of the price within its limits.

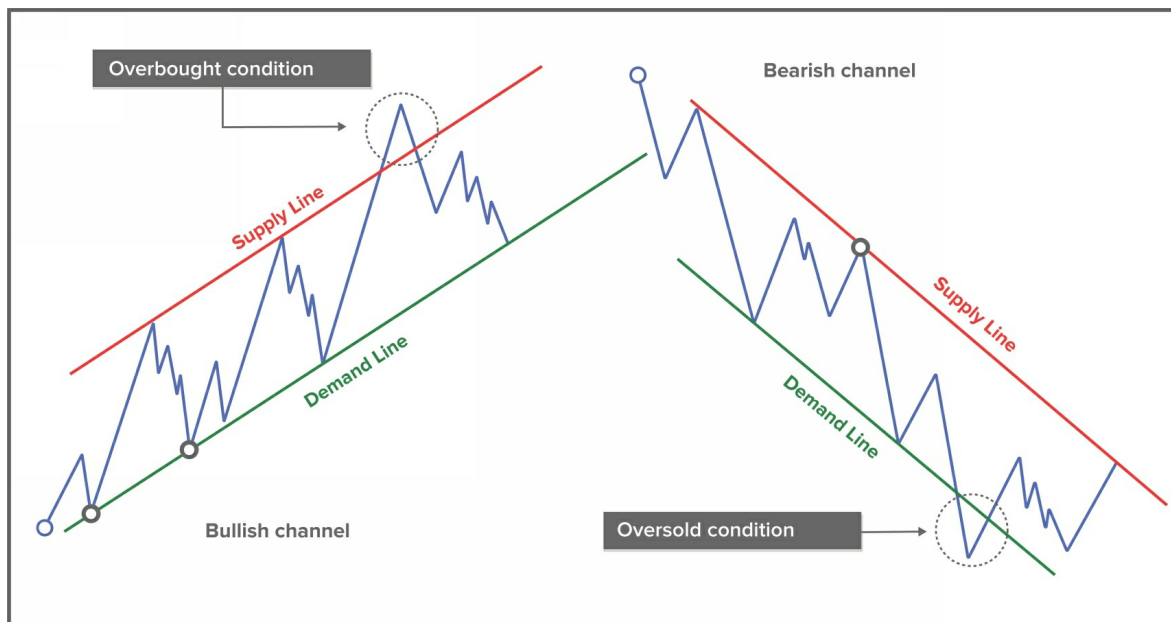
When the bullish trend line or demand line is dragged towards the opposite end and anchored parallel to the maximum that lies between the two minimums used to create it, the overbought line is created; and together they

define an upward trend channel. This channel identifies a rising price.

The operator should be aware of overbought conditions. These conditions are created when the price exceeds the high end of the bullish channel. Due to too rapid an acceleration, the price reaches a point at which it is highly sensitive to long coverage and generally to the withdrawal of more experienced buyers, suggesting a weakening of the uptrend. They usually guide the price to a downward corrective action.

Human beings seem to be inclined towards extremes. In the financial markets this trend is revealed in the form of greed. Prices are pushed higher and higher until the public swells with stocks that are generally overvalued. When this happens, an overbought condition is said to exist.

Channels



When the bearish trend line or supply line is dragged towards the opposite end and anchored parallel to the minimum that is located between the two maximums used for its creation, the oversold line is created; and together they define a bearish trend channel. This channel identifies a falling price.

The operator should be aware of overbooking conditions. These conditions are created when the price exceeds the low end of the downstream channel. Due to too fast a bearish movement, the price reaches a point at which it is highly sensitive to short coverage (profit taking) and a general withdrawal of experienced traders who were sold; suggesting a weakening of the bearish

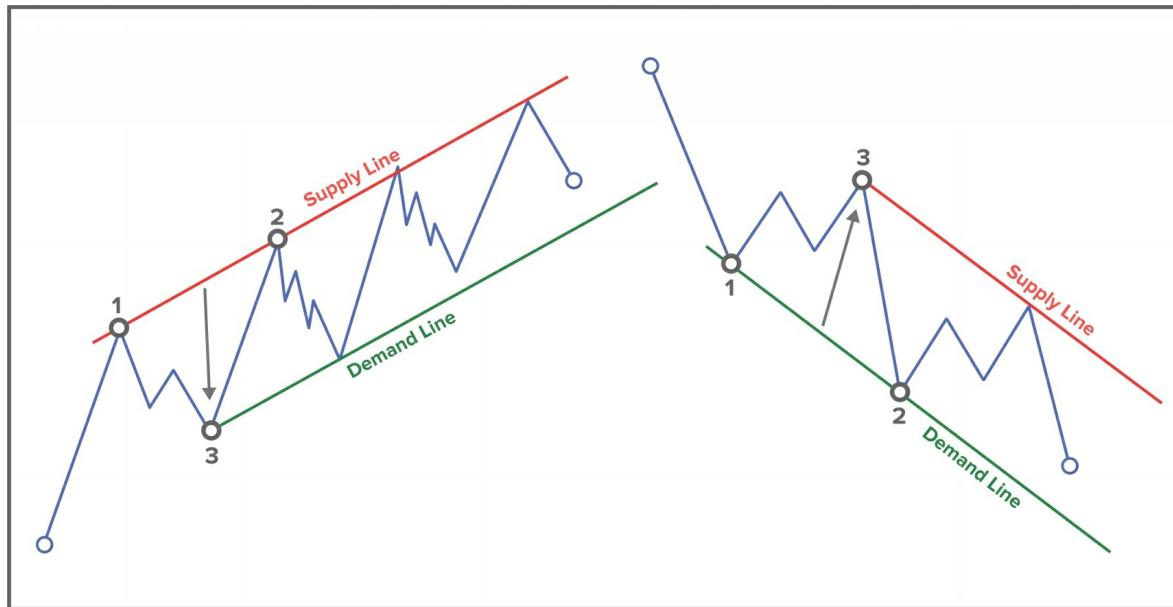
trend. They usually guide the price to an upward corrective action.

In a bear market there is another extreme that takes control; fear. As the price falls, traders become alarmed. The lower they go, the more frightened they get. Fear reaches a level that weak hands can't stand and sell their shares. This selling panic generates an overselling condition.

Those periods of overbought or oversold that lead to the stop of the movements can be seen in any temporality.

Inverted lines

In high-speed conditions where a clear trend has not yet been established, inverted lines are a good way to try to structure at least initially the price movement.



Inverted lines

It is a question of first creating the line of supply in an upward trend to generate from it the line of demand; and of first creating the line of demand in a downward trend to generate from it the line of supply.

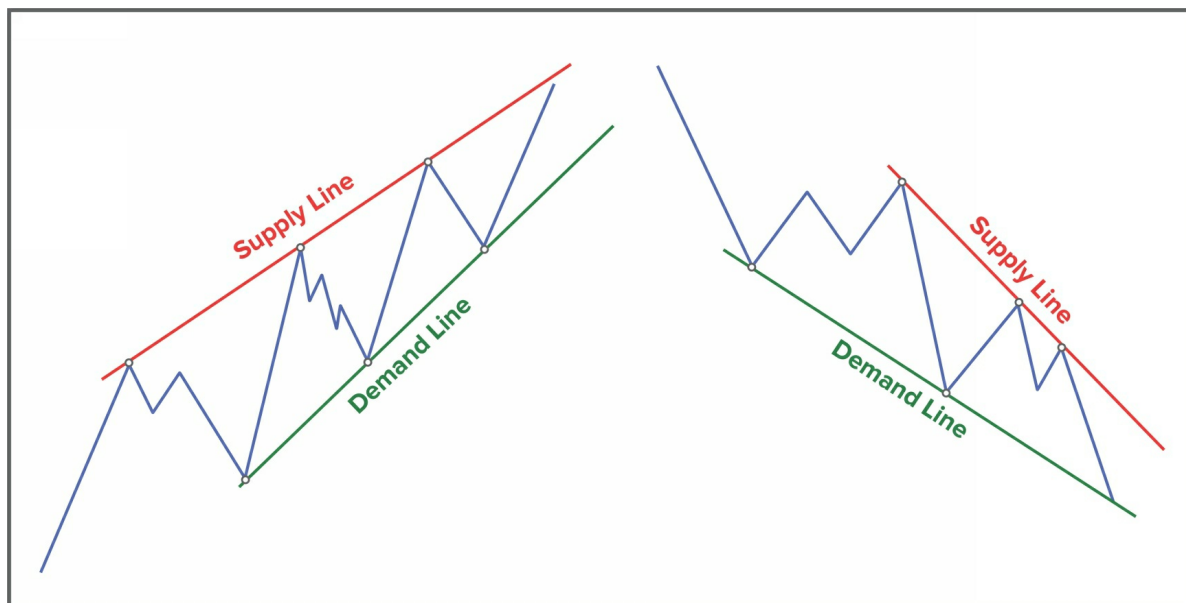
At the beginning of a bullish advance, in case the price has made two important upward thrusts without leaving any significant bearish retreat, one can estimate at what point to expect the price to retreat by first creating the supply line in order to drag it and create the bullish trend line; and in the

same way, first draw the demand line in order to create from it the bearish trend line.

Converging lines

There will be times when you will notice that overbought and oversold lines created from their trendlines do not work effectively. The price may never reach these lines as you will probably be following a different movement dynamic.

Converging lines



The way to solve this deficiency is to create these lines independently, without taking into account the trend line.

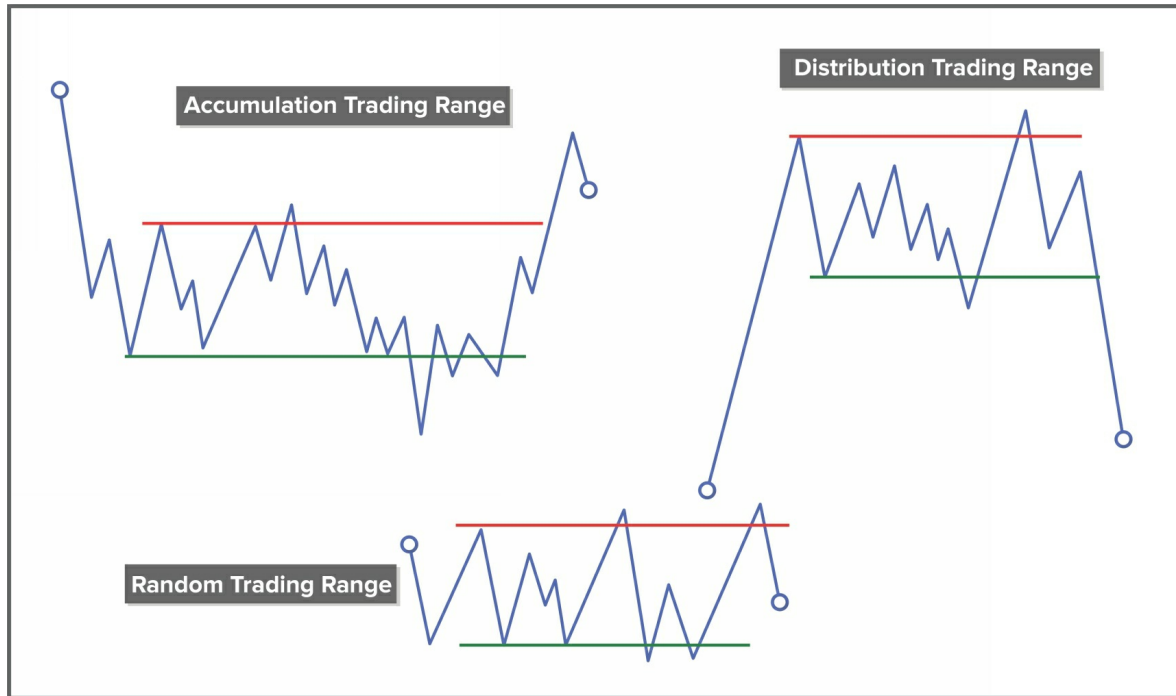
In this way, an overbought line would be created by connecting two maxima and the oversold line by connecting two minima. The objective is to try to find the structural logic to the movements in order to take advantage of them.

Note that in the case of an upward movement, not being able to even reach the original overbought line denotes a symptom of weakness and alerts us to a possible downward turn. Similarly, the fact that the original overbooking line cannot be reached in the case of the bear movement denotes a symptom of background strength and alerts us to a possible upward turn.

Visually they are observed as exhaustion patterns.

Chapter 5 – Trading Ranges

The market spends most of its time in this type of condition, so they are extremely important.



Types of Trading ranges

Trading ranges are places where previous movement has been stopped and there is a relative balance between supply and demand. It is within the range where accumulation or distribution campaigns are developed in preparation for an upward or downward trend. It is this force of accumulation or distribution that builds the cause that develops the subsequent movement.

The ranges within it present optimum trading opportunities with a very favourable risk/reward potential; however, large operations are those in which you correctly manage to position yourself within the range to take advantage of the trend movement.

In the operative in trend, as the price is already in movement, part of its path will have been lost. By taking advantage of opportunities within the range, there is a chance to catch a bigger move.

To be correctly positioned at the beginning of the trend, you must be able to analyze price action and volume during range development. Fortunately, the

Wyckoff methodology offers unique guidelines with which the operator can successfully perform this task. The identification of events and the analysis of Phases become indispensable tools for the correct reading of the range.

If you don't see a clearly defined trend, the price is most likely in a range context. This neutral or lateral trend may have three main interests behind it: it is accumulating, in preparation for an upward movement; it is distributing, in preparation for a downward movement; or it is fluctuating up and down without any defined interest.

Random fluctuations should be ignored as there is probably no professional interest behind that market. It is important to understand that in not all trading ranges there is professional interest; and that therefore, if these interests are not involved in a security, the price simply fluctuates because it is in equilibrium and movements in one direction are neutralized with movements in the opposite direction.

On the basis of the law of cause and effect, it is necessary for the price to consume time within the range in preparation for the subsequent movement. And that movement will be directly proportional to the time spent in the range. This means that shorter ranges will generate shorter movements and that longer ranges will generate movements that will travel longer distances.

To define a range two points are required to build the channel. As long as the price remains within the range, no major movement will occur. The key is in the extremes. When these are broken, they can offer excellent trading opportunities.

Be clear that the decisive move to break the range and start the trend Phase cannot occur until a clear imbalance between supply and demand has been generated. At that point, the market must be in the control of the professionals and they must have confirmed that the direction in which they will direct the price movement is the path of least resistance.

This means that if they have accumulated with the intention of launching prices upwards, they will first verify that they will not find resistance (sales) to stop that rise. When they see that the road is clear, they will initiate movement. Similarly, if they have been distributing (selling) with the intention of lowering prices, they need to make sure that the floating demand (buyer interest) is relatively low.

Part 2 - The Wyckoff Method

Many of Wyckoff's basic principles have become basic foundations of technical analysis. The three fundamental laws: Supply and Demand, Cause and Effect and Effort and Result; the concepts of Accumulation/Distribution and the supremacy of Price and Volume when determining price movements are some examples.

The Wyckoff method has passed the test of time. More than 100 years of continuous development and use have proven the value of the method to trade all kinds of financial instruments.

This achievement should not come as a surprise as it relies on the analysis of price and volume action to judge how it reacts to the battle between the real forces that govern all price changes: supply and demand.

Chapter 6 - Wyckoff Methodology Structures

Financial markets are a living thing, they are constantly changing due to their continuous interaction between buyers and sellers. This is why it would be a mistake to use fixed patterns or schemes to try to read the context of the market.

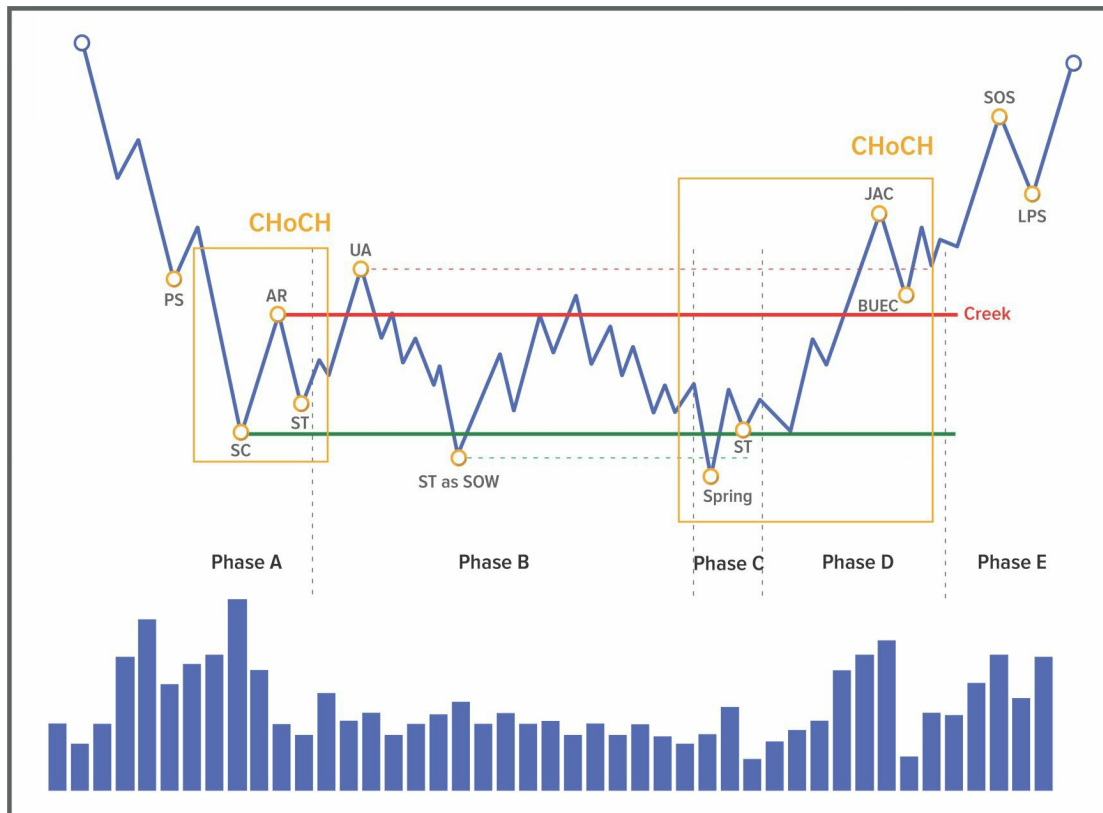
Aware that it is practically impossible for price to develop two identical structures, the trading approach proposed by the Wyckoff methodology is flexible when analysing the market.

The price can develop different types of structures depending on the conditions in which it is found. This is why we need an approach that gives some flexibility to price movements but at the same time is governed by certain fixed elements that provide as much objectivity as possible to the reading.

These fixed aspects of the methodology are the events and Phases that make up the development of the structures. Below we present two basic schemes of accumulation and distribution to provide a very general idea of the dynamics in which price moves under the premises of the Wyckoff methodology.

As we have just said, these schemes can be considered as ideals. The

important thing to keep in mind is that the market will not always present them this way.



Basic scheme of accumulation #1

Basic

scheme of accumulation #1

Accumulation. The process by which large operators absorb available stock from the market. This is a transfer from retail traders or "weak hands" to strong traders or "strong hands".

Creek. Resistance level for accumulation or reaccumulation structures. It is established by the maximum generated by the Automatic Rally and by the maximums that can be developed during Phase B.

CHoCH. Change of Character. Change of character. It indicates the environment in which the price will move soon. The first CHoCH is established in Phase A where the price moves from a downward trend to a consolidation environment. The second CHoCH is set from the minimum of Phase C to the maximum of SOS in which the price moves from a consolidation environment to an upward trend environment.

Phase A. Stopping the previous bearish trend.

- **PS.** Preliminary Support. It's the first attempt to stop the downward movement that will always fail.
- **SC.** Selling Climax. Climate action that stops the downward movement.
- **AR.** Automatic Rally. Bullish reaction. An upward movement that sets the maximum range.
- **ST.** Secondary Test. Test of the level of supply in relation to climate action. Establishes the end of Phase A and the beginning of Phase B.

Phase B. Construction of the cause.

- **UA.** Upthrust Action. Temporary breakout of the resistance and re-entry into the range. This is a test at the maximum generated by the AR.
- **ST as SOW.** Secondary Test as Sign Of Weakness. Sample of weakness in test function. Temporary break of the support and re-entry to the range. This is a test at the minimum generated by the SC.

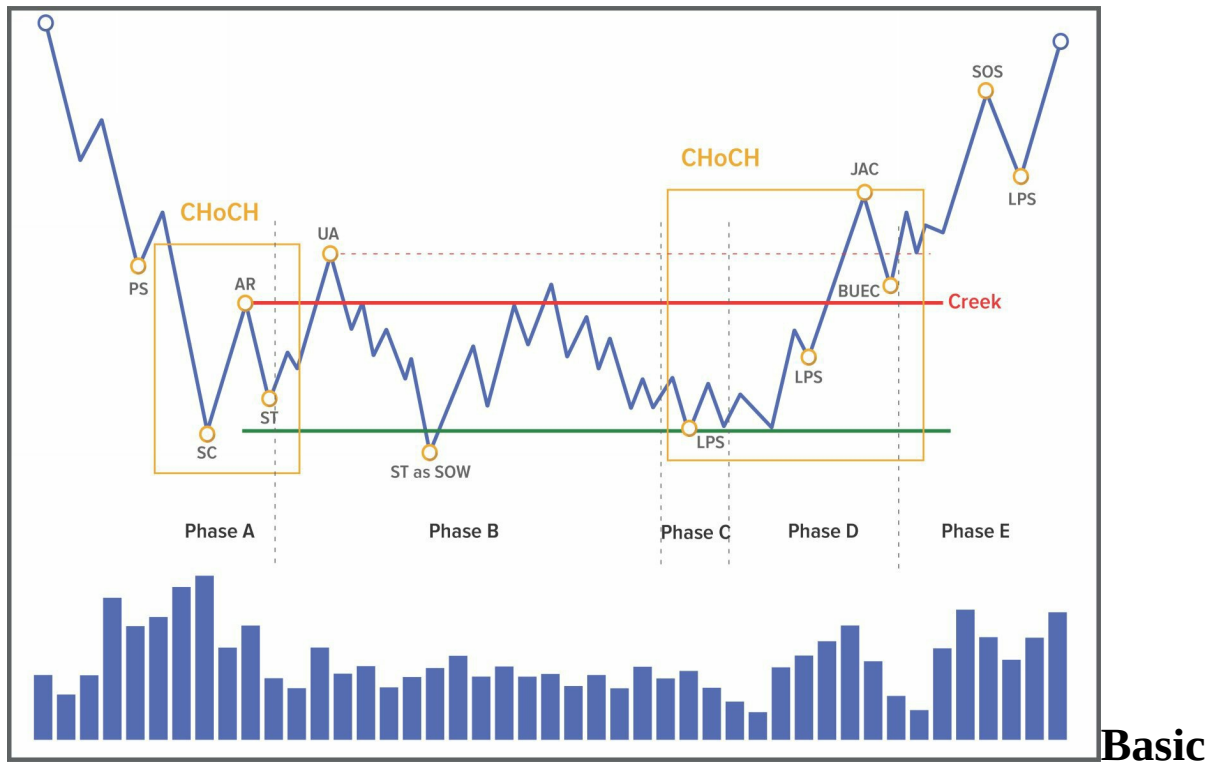
Phase C. Test

- **SP Spring.** It is a test in the form of breakout of the minimums of Phases A and B. There are three different types of Springs.
- **Test Spring.** Downward movement towards lows of the range in order to check the commitment of the sellers.
- **LPS.** Last Point of Support. Test in the form of a bearish movement that fails to reach the minimum range.
- **TSO.** Terminal Shakeout or Shakeout. Abrupt movement of minimum breakout that produce a deep penetration of the level of support and a fast recovery.

Phase D. Bullish trend within the range.

- **SOS.** Sign of Strength. Bullish movement generated after the Phase C Test event that manages to reach the top of the range. Also called **JAC.** Jump Across the Creek. Creek jump.
- **LPS.** Last Point of Support. These are the rising troughs we find in the upward movement towards resistance.
- **BU.** Back Up. This is the last big reaction before the bull market starts. Also called **BUEC.** Back Up to the Edge of the Creek. Back to the creek.

Phase E. Bullish trend out of range. Succession of SOS and LPS generating a dynamic of rising highs and lows.



scheme of accumulation #2

Second variant of the methodology in which the test event in Phase C fails to reach the minimums of the structure.

It usually occurs because current market conditions denote background strength.

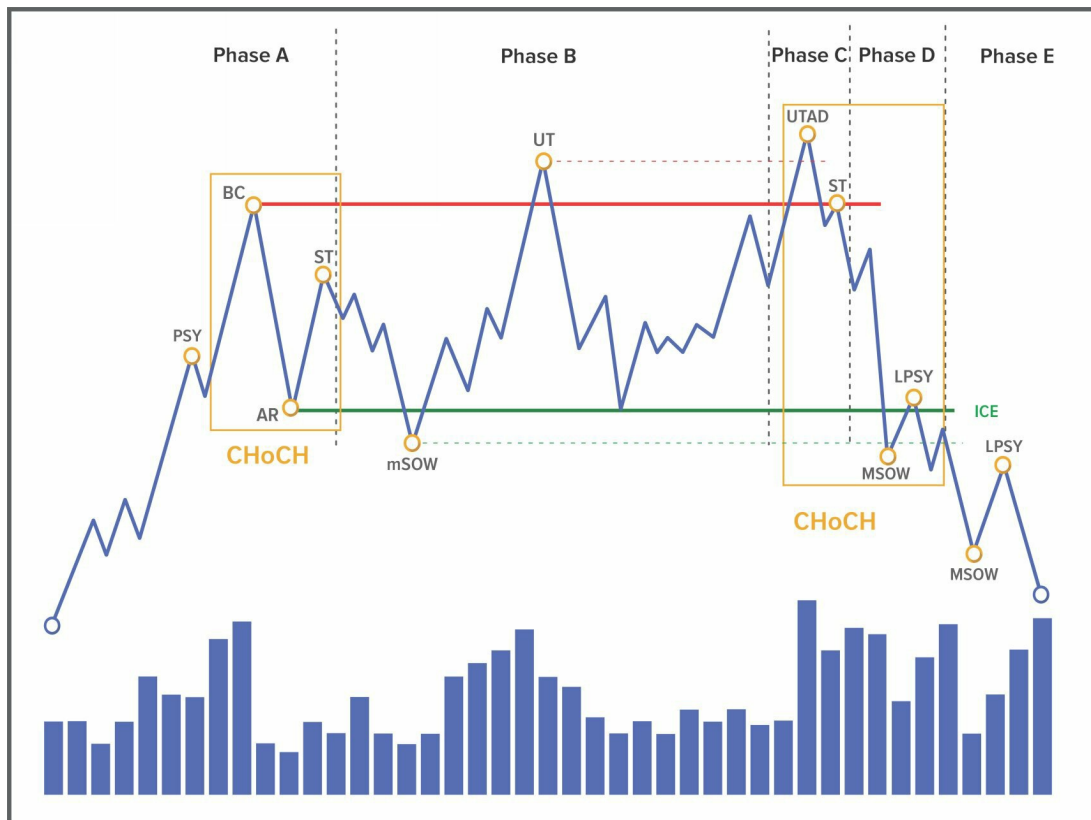
The objective of the price is to visit this liquidity zone but the big operators support the market entering aggressively in purchase. They don't let the price go any lower so no one else can buy any lower.

This type of trading ranges are more complicated to identify because by not being able to assess that Shake action, the bullish approach loses a point of confidence.

The primary trading zone is in the Spring potential; then, when buying in a possible LPS we will always be in doubt if, as is most likely, the price will visit that minimum zone first to develop the Spring.

In addition to this, that first sign of bullish strength that produces range breakout is usually lost.

Therefore, the only viable purchase opportunity in this type of structure can be found in the BUEC. This is where we must pay more attention to look for entry in lengths.



Basic scheme of distribution #1

Basic

scheme of distribution #1

Distribution. The process by which large operators distribute (sell) stock. This is a transfer from the strong operators or "strong hands" to the retail operators or "weak hands".

ICE. Level of support for distribution or redistribution structures. It is established by the minimum generated by the Automatic Reaction and by the minimums that can be developed during Phase B.

CHoCH. Change of Character. It indicates the environment in which the price will move soon. The first CHoCH is established in Phase A where the price moves from an upward trend environment to a consolidation environment. The second CHoCH is set from the maximum of Phase C to the

minimum of the SOW in which the price moves from a consolidating environment to a downward trend environment.

Phase A. Stop the previous trend.

- **PSY.** Preliminary Supply. It's the first attempt to stop the climb that will always fail.
- **BC.** Buying Climax. Climax action that stops the upward movement.
- **AR.** Automatic Reaction. Bearish reaction. Bearish movement that sets the minimum range.
- **ST.** Secondary Test. Test of the level of demand in relation to climatic action. Establishes the end of Phase A and the beginning of Phase B.

Phase B. Construction of the cause.

- **UT.** Upthrust. Same event as accumulation UA. Temporary breakout of the resistance and re-entry into the range. This is a test at the maximum generated by the BC.
- **mSOW.** Minor Sign of Weakness. Same event as ST as SOW of accumulation. Temporary break of the support and re-entry to the range. This is a test at the minimum generated by the AR.

Phase C. Test

1. **UTAD.** Upthrust After Distribution. It is a test in the form of breakout of the maximums of Phases A and B.
2. **UTAD test.** An upward movement that goes up to check the level of commitment of the buyers.

Phase D. Bearish Trend Within Range.

- **MSOW.** Major Sign of Weakness. Bearish movement originated after the Phase C Test event that manages to reach the bottom of the range generating a character change.

- **LPSY.** Last Point of Supply. These are the decreasing highs we find in the bearish movement towards support.

Phase E. Bearish trend out of range. Succession of SOW and LPSY generating a dynamic of diminishing maximums and minimums.

Second variant of the methodology in which the test event in Phase C fails to reach the maximums of the structure.

Denotes a greater weakness in the background.

Structures with a loss of confidence due to the absence of shaking. When going short on the possible LPSY we will always be in doubt as to whether the price will shake to highs before falling.

The sign of weakness (SOW) that breaks the structure is lost. Unique opportunity to the breakout test (LPSY).

Part 3 - The Three Fundamental Laws

Chapter 7 - The law of supply and demand

[Richard Wyckoff](#) was the first to introduce this fundamental law of economics and he told us that if demand was greater than supply, the price of the product would rise; that if supply was greater than demand, the price of the product would fall; and that if supply and demand were in equilibrium, the price of the product would be maintained.

This idea is very general and should be nuanced because there is a very common error in thinking that prices go up because there are more buyers than sellers or that they go down because there are more sellers than buyers.

In the market there is always the same number of buyers and sellers; for someone to buy, there must be someone to sell to.

Theory

In the market there are buyers and sellers who interrelate to match their orders. According to auction theory, the market seeks to facilitate this exchange between buyers and sellers; and this is why volume (liquidity) attracts price.

The general accepted theory in economics tells us that supply is created by sellers by placing sales (pending) limit orders in the ASK column and demand is created by buyers by placing purchase limit orders in the BID column.

There is a very common error in calling everything to do with the purchase demand and everything to do with the sale offer. Ideally, different terms should be used to distinguish between aggressive operators and passive operators.

	BID	PRICE	ASK	
		108	600	Supply Limit selling orders
		107	980	
		106	900	
		105	720	
		104	550	
		103	500	
		102	120	
		101	90	
Last crossing price		100	75	
Demand Limit buying orders	50	99		
	66	98		
	95	97		
	130	96		
	249	95		
	120	94		
	97	93		
	90	92		

Graphic Example of an Order Book

The terms supply and demand correspond to taking a passive attitude by placing limit orders in the BID and ASK columns.

While when an operator takes the initiative and goes to the BID column to execute an aggressive (to market) order, he is known as a seller; and when he goes to the ASK column, he is known as a buyer.

All this is a mere formality and has more to do with theory in economics than with practice. The key to everything is in the types of orders that are executed. We must differentiate between market orders (aggressive) and limit orders (passive).

Passive orders represent only intention, they have the capacity to stop a movement; but not the capacity to make the price move. This requires

initiative.

Price shift

Initiative

In order for the price to move upwards, buyers have to buy all available sell (bid) orders at that price level and also continue to buy aggressively to force the price up one level and find new sellers there to trade with.

Passive buy orders cause the bearish movement to slow down, but on their own they cannot raise the price. The only orders that have the ability to move the price up are those purchases to market or those by whose crossing of orders becomes purchases to market.

Therefore, an upward movement of the price can be given by active entry of buyers or by executing Stop Loss of short positions.

Order book. Initiative

	BID	PRICE	ASK
		108	600
		107	980
		106	900
		105	720
		104	550
		103	500
		102	120
		101	90
		100	75
	50	99	
	66	98	
	95	97	
	130	96	
	249	95	
	120	94	
	97	93	
	90	92	

For the price to move down one level, sellers must "eat" those 50 buy limit orders

For the price to move up one level, buyers must "eat" those 75 sell limit orders

For the price to move downwards, sellers have to purchase all available purchase orders (demand) at that price level and continue to push downward by forcing the price to search for buyers at lower levels.

Passive sell orders cause the bullish movement to slow down, but it does not have the ability to bring the price down on its own. The only orders that have the ability to move the price down are sales to market or those by whose crossing of orders becomes sales to market.

Therefore, a downward movement of the price can be given by active entry of sellers or by executing Stop Loss of long positions.

BID	PRICE	ASK
	108	134
	107	100
	106	180
	105	120
	104	44
	103	26
	102	15
	101	7
	100	5
50	99	
66	98	
95	97	
130	96	
249	95	
120	94	
97	93	
90	92	

Large imbalance between buy and sell limit orders = lack of selling interest

Lack of interest

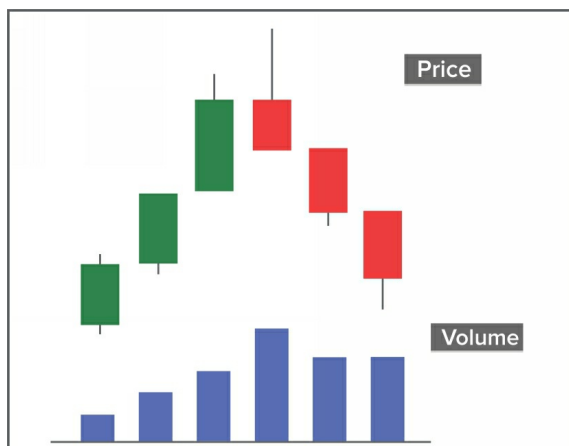
Order book. Lack of interest

It is also necessary to understand that the absence of one of the two forces can facilitate price displacement. An absence of supply can facilitate the rise in price just as an absence of demand can facilitate its fall.

When the bid is withdrawn, this lack of interest will be represented as a smaller number of contracts placed in the ASK column and therefore the price will be able to move more easily upwards with very little buying power.

Conversely, if demand is withdrawn, it will result in a reduction in the contracts that buyers are willing to place with the BID and this will cause the price to go down with very little selling initiative.

Conclusion



Regardless of the origin of the purchase or sale order (trader retail, institutional, algorithm and so on.) the result is that liquidity is added to the market; and this is what is really important when trading.

Two of the tools we can use to understand the result of this interaction between supply and demand are price and volume.

Price and Volume Graph

It is necessary to develop the ability to correctly interpret the price action with respect to its volume if we want to know at all times what is happening in the market.

This is why I consider the Wyckoff methodology to be a really solid approach when analyzing what is happening in the graph (accumulation and distribution processes) and making judicious scenarios.

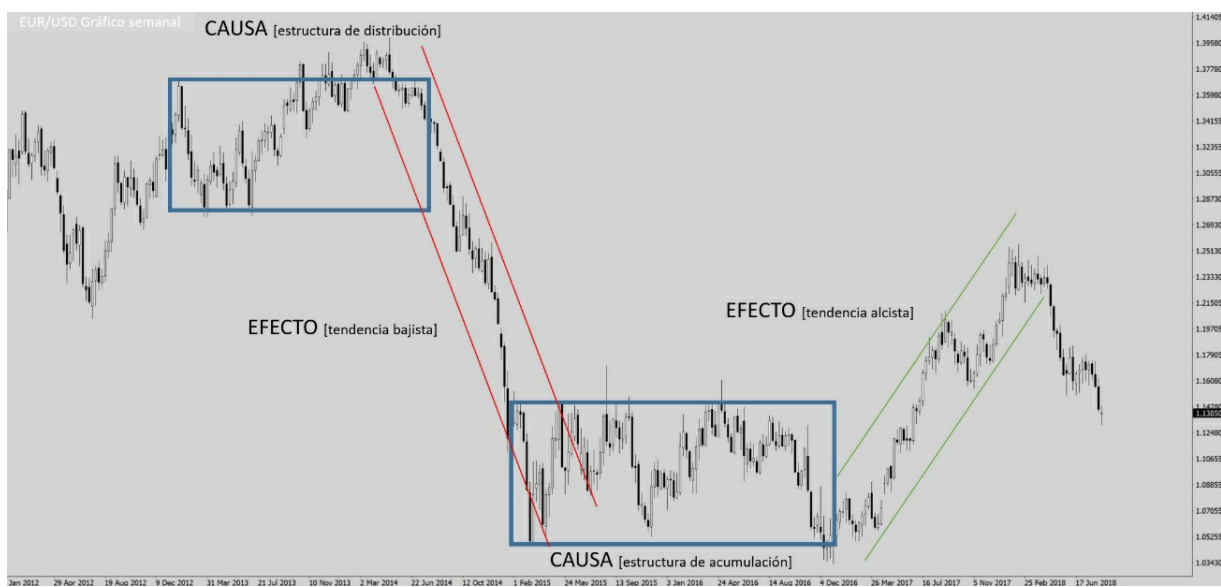
Chapter 8 - The Law of Cause and Effect

The idea is that something cannot happen out of nowhere; that to see a change in price, a root cause must first have been built.

Generally, causes are constructed through a major change of hands between well-informed and uninformed operators.

In the case of individual transactions, the cause for the price to rise is the buyer's desire to want those shares or the seller's desire to want that money.

Weekly EUR/USD Chart. Example Cause/Effect



In addition to seeing the cause in terms of an individual operation, the objective is to see the cause from a broader perspective, in terms of movements. For this, it is said that the market is constructing a cause during periods of price lateralization; and that these generate later as an effect a tendential movement to the rise or to the fall.

In these lateralization periods, stock absorption campaigns are carried out in which the big operators begin to position themselves on the right side of the market, gradually expelling the rest of the participants until they find the path on which the price will be directed free of resistance.

An important aspect of this law is that the effect realized by the cause will always be in direct proportion to that cause. Consequently, a great cause will produce a greater effect, and a small cause will result in a lesser effect.

It is logical to think that the longer the period of time the market spends in a rank condition developing a campaign, the greater the distance the subsequent trend movement will travel.

The key is to understand that it is during the lateral price Phases that the accumulation/distribution processes take place.

Depending on its duration and the efforts we see during its formation (manipulation manoeuvres such as shaking), this cause will provoke a response movement upwards or downwards (effect).

Elements to bear in mind

There are certain market conditions, such as weather events, which can cause a sharp turn in the price without a great deal of preparation.

The big operators use these climate candles to accumulate/distribute all the stock they need without developing a more extensive campaign and starting from there the expected movement.

Another aspect to keep in mind is that not all ranges are accumulation or distribution processes. This point is very important.

Remember that the methodology tells us that there will be structures that are simply price fluctuations and do not have a motivating cause.

Point and Figure Graphics

In principle the projection of the effect will be unknown, but we can propose it as proportional to the effort that provoked it.

Wyckoff used the point and figure graph to quantify cause and estimate effect.

By means of the horizontal counting of columns the possible objectives are estimated. It is about providing a good indication of how far a movement can go. Accumulation would produce an upward count while distribution would project it downward.

Unlike bar charts, which are time-based; point and figure charts are based on volatility.

In order for the dot and figure chart to advance to the right and generate a

new column, it first requires a price movement in the opposite direction.

The count on this type of graph is made from right to left and is delimited between the two levels on which appeared first and lastly the force that controls the market at that time:

- For the projection of a count in an accumulation scheme we measure the number of columns between the Last Point of Support (last event on which the demand appears) and the Preliminary Support or Selling Clímax (first events of appearance of the demand).
- For the projection of a distribution count we measure the number of columns between the Last Point of Supply and the Preliminary Supply or Buying Clímax.

Example of counting in AAPL. Stockcharts.com Chart

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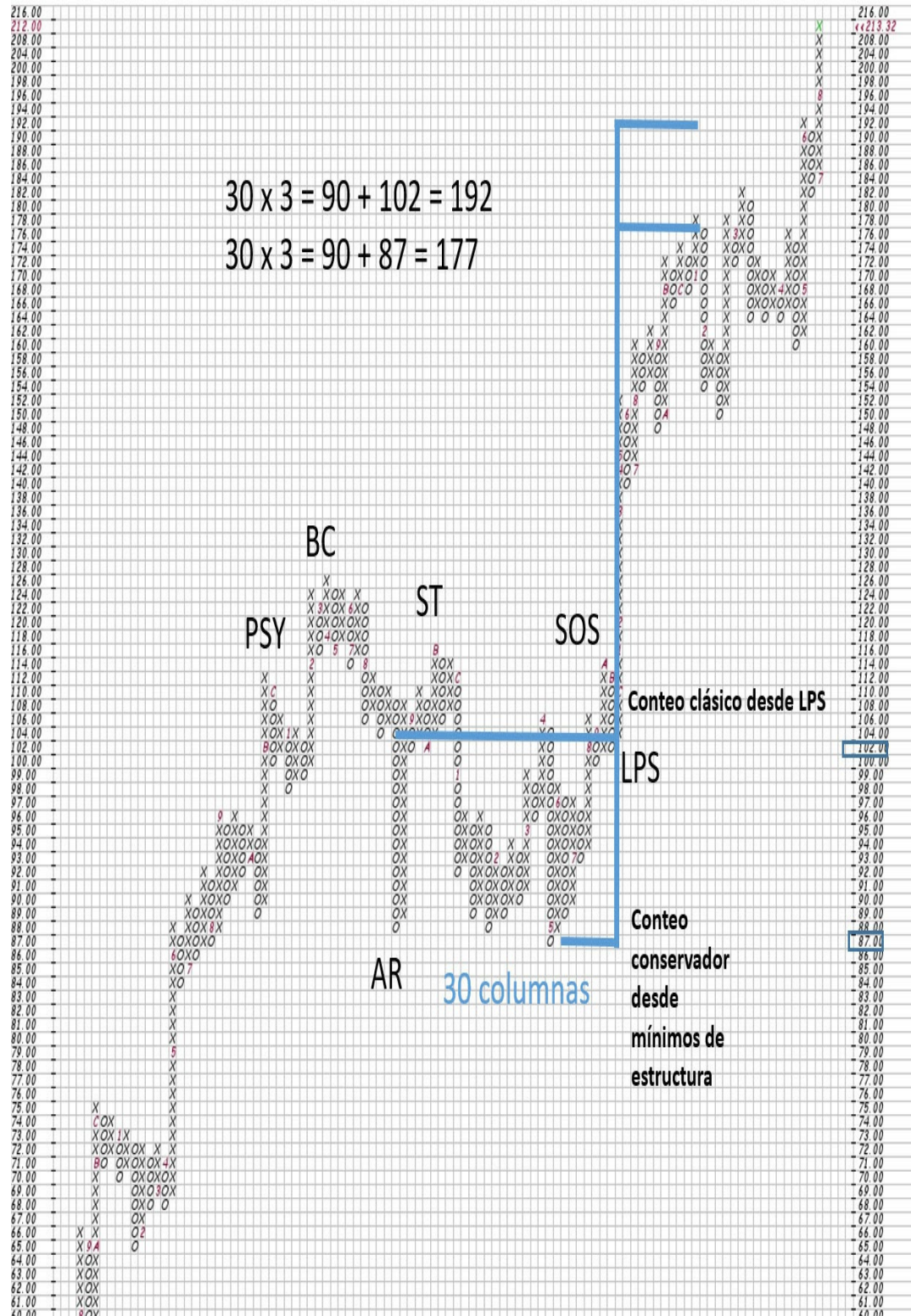
AAPL Apple, Inc. Nasdaq Global Select Mkt.

16-Aug-2018, 16:00 ET, daily, O: 211.75, H: 213.812, L: 211.47, C: 213.32, V: 27337604, Chg: +3.08 (1.46%)

P&F Pattern Double Top Breakout on 25-Jul-2018

Scaling: Traditional [Reversal: 3]

(c) StockCharts.com



For the reaccumulation ranges the count is made from the Last Point of Support to the Automatic Reaction (as this is the first event on which the demand appeared).

- For the redistribution ranges the count is made from the Last Point of Support to the Automatic Rally (the first event on which the offer appeared).

After counting the number of boxes that make up the range, the result is multiplied by the value of the box.

The classic projection is obtained by adding the resulting figure to the price on which the LPS/LPSY is produced.

To obtain a moderate projection, the resulting figure is added to the price of the highest extreme reached.

- In the distribution ranges, the highest maximum will generally be that set by the Upthrust (UT) or Buying Climax (BC).
- For the accumulation ranges, the lowest minimum will generally be the Spring (SP) or Selling Clímax (SC).

Get a more conservative projection by dividing the area into Phases. Counts from and to where price turns occur. Count the number of boxes that make up each Phase and multiply it by the value of the box. The resulting figure is added to the price of the LPS/LPSY or to the price of the highest extreme reached.

Just because the value has ample preparation does not mean that the whole area is accumulation or distribution. This is why point and figure counts do not always reach the objective of greatest scope and therefore it is suggested to divide the range in order to generate several counts and thus establish different objectives.

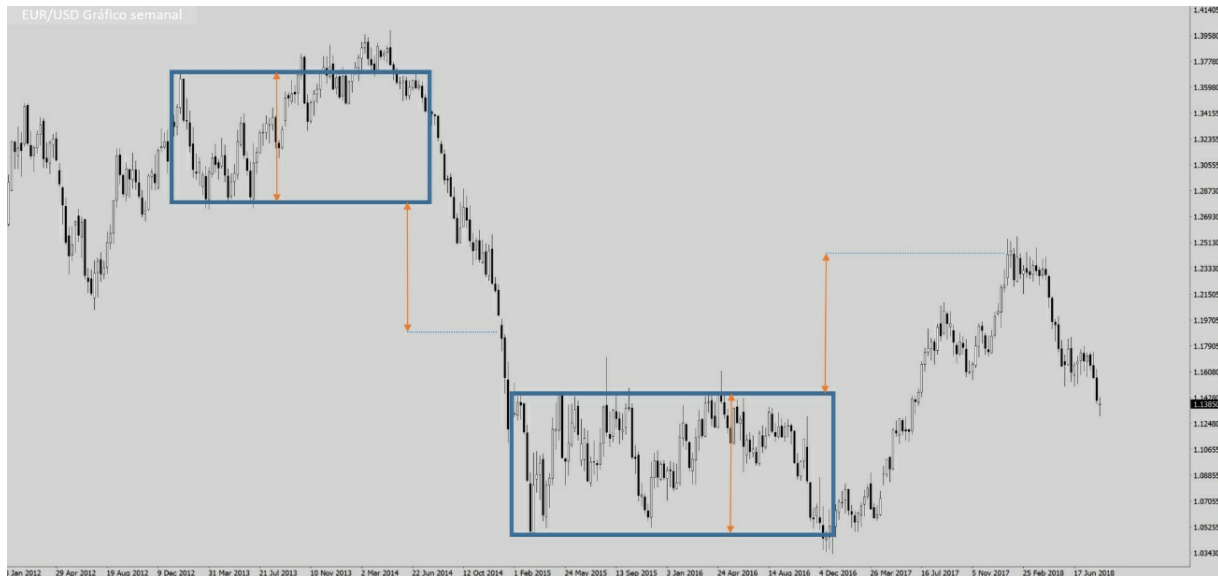
Technical analysis for projection of objectives

There are operators who consider that the projection of targets by counting the point and figure graph is not very operative in today's markets.

There is also a problem with the point and figure at the time of its preparation

because there are several ways to do it. This makes it useless from my point of view since this subjectivity makes me lose confidence in this tool.

Example of 1:1 Vertical Projection



Some of us prefer to simplify it and use tools such as Fibonacci, Elliot or harmonic patterns (vertical projection of the range) for the projection of targets.

This type of tools are becoming more and more powerful since since the inclusion of software in financial markets, many of the algorithms are programmed under these simple premises and therefore are objectives that are met with a high probability.

Conclusion

Since the market moves under this law of cause and effect by using the lateral Phases to generate the subsequent movements, I believe that it can give us an advantage to try to decipher what is "baking" during the development of these structures.

And to try to figure out what's going on there, the Wyckoff methodology gives us excellent tools.

Wyckoff traders know that it is in these lateral conditions from where the movements are born and that is why we are continuously looking for the beginning of new structures to begin to analyze the action of price and volume with the objective of positioning ourselves before the development of the trend movement.

A trend will end and a cause will begin. A cause will end and a trend will begin. The Wyckoff method is centered around the interpretation of these conditions.

Chapter 9 - The Law of Effort and Result

In financial markets, effort is represented by volume while the result is represented by price.

This means that the price action must reflect the volume action. Without effort it can't have worked.

The aim is to assess the dominance of buyers or sellers through convergence and divergence between price and volume.

The importance of volume

Price is not the only important factor in financial markets. Perhaps even more important is the character of the volume.

These two elements (price and volume) are part of the cornerstone of the Wyckoff methodology.

Volume identifies the amount of stock (stocks, units, contracts) that has changed hands. When large traders are interested in a security, this will be reflected in the volume traded.

This is the first key concept: the participation of large operators is identified by an increase in volume.

Harmony and divergence

A significant increase in volume indicates the presence of professional money with the aim of producing a movement (continuation or spin).

If the effort is in harmony with the result it is a sign of strength of the movement and suggests its continuation. If the effort is in divergence with the result it is a sign of weakness of the movement and suggests a reversal.

It should also be noted that the price movement will be in direct proportion to the amount of effort expended.

If harmony is suggested, a greater effort will cause a movement of long duration; while a slight effort will be reflected in a movement of shorter duration.

On the other hand, if divergence is suggested, the result tends to be in direct

proportion to that divergence. A smaller divergence tends to generate a smaller result and a larger divergence, a larger result.

Analysis table

Suggestion	In the development of a candle	On the next scroll	In the development of the movements	By waves	By reaching key levels
Harmony	High volume developing a wide range	High volume in a bullish candle that makes the price rise	High volume in an impulse	Increasing wave in an impulse	High volume breaking level
	Low volume developing a narrow range	High volume in a bearish candle that lowers the price	Low volume in a pullback	Decreasing wave in a pullback	Low volume that does not break the level
Divergence	High volume developing a narrow range	High volume in a bullish candle that does not raise the price	Low volume in an impulse	Decreasing wave in an impulse	High volume that does not break the level
	Low volume developing a wide range	High volume in a bearish candle that does not bring down the price	High volume in a pullback	Increasing wave in a pullback	Low volume breaking level

Summary Analysis Table Effort/Result

The complete table of harmony/divergence at the time of evaluating the action of the price and the volume is the following one:

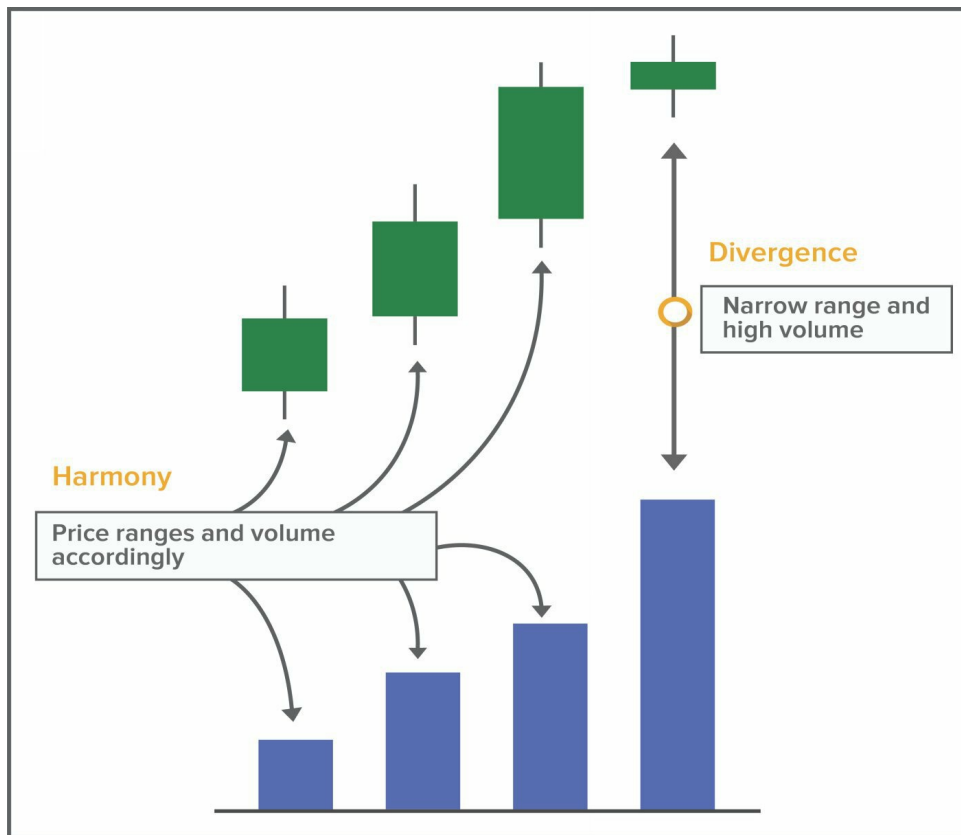
In the development of a candle

It's the simplest evaluation. We try to analyze the price and volume action in a simple individual candle.

Candles are the final representation of a battle between buyers and sellers within a certain period of time.

The final result of this interaction between supply and demand sends us a message.

Effort/Result in Developing a Candle

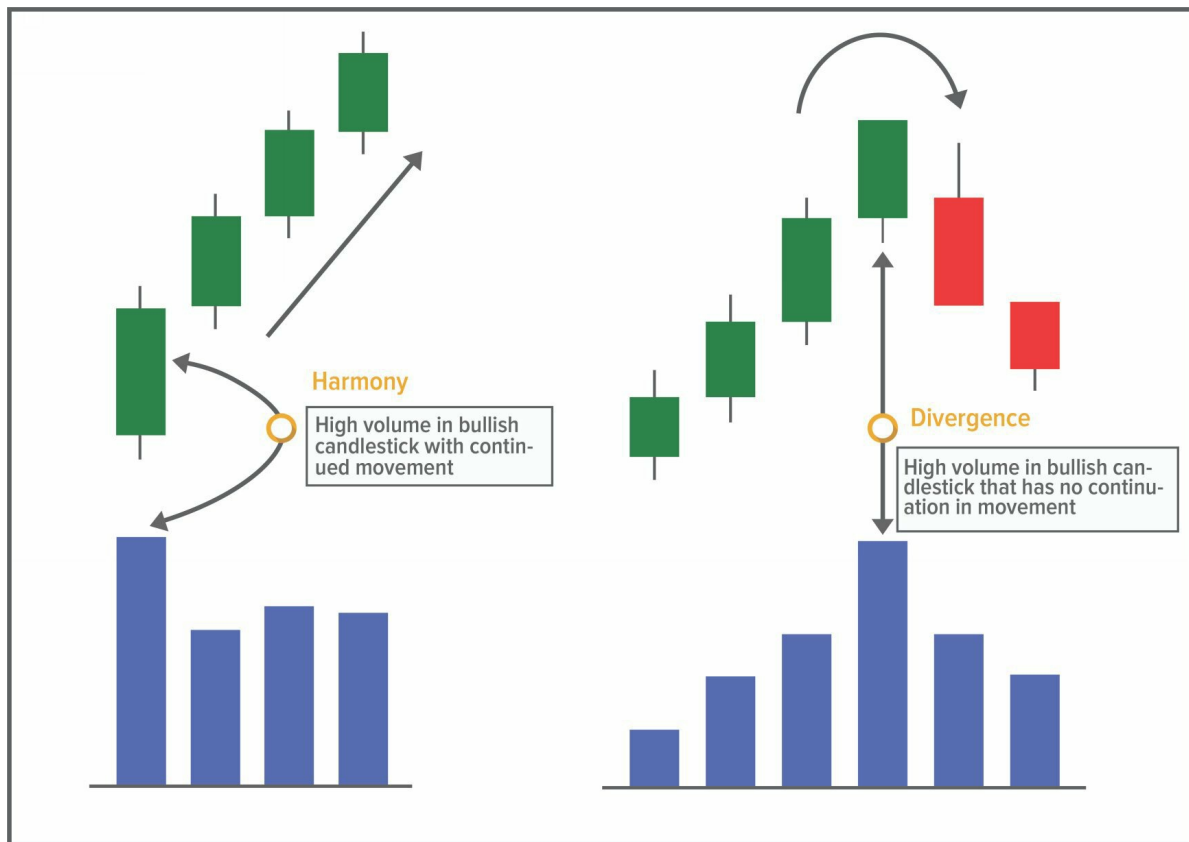


Our job as traders who analyze the action of price and volume is to know how to interpret that message correctly. In this case in isolation.

We are looking for an agreement between the price ranges and the volume traded. For that message to convey harmony, we want to see wide ranges in the volume peaks and narrow ranges in the low volumes. The opposite would mark a divergence.

On the next scroll

Effort/Result in the following displacement



In this section we try to analyze the action of the price and the volume in a larger portion; in the later displacement of the price.

We want to assess whether this volume generates a movement in the direction of the original candle or whether the price shifts in the opposite direction after observing this increase in volume.

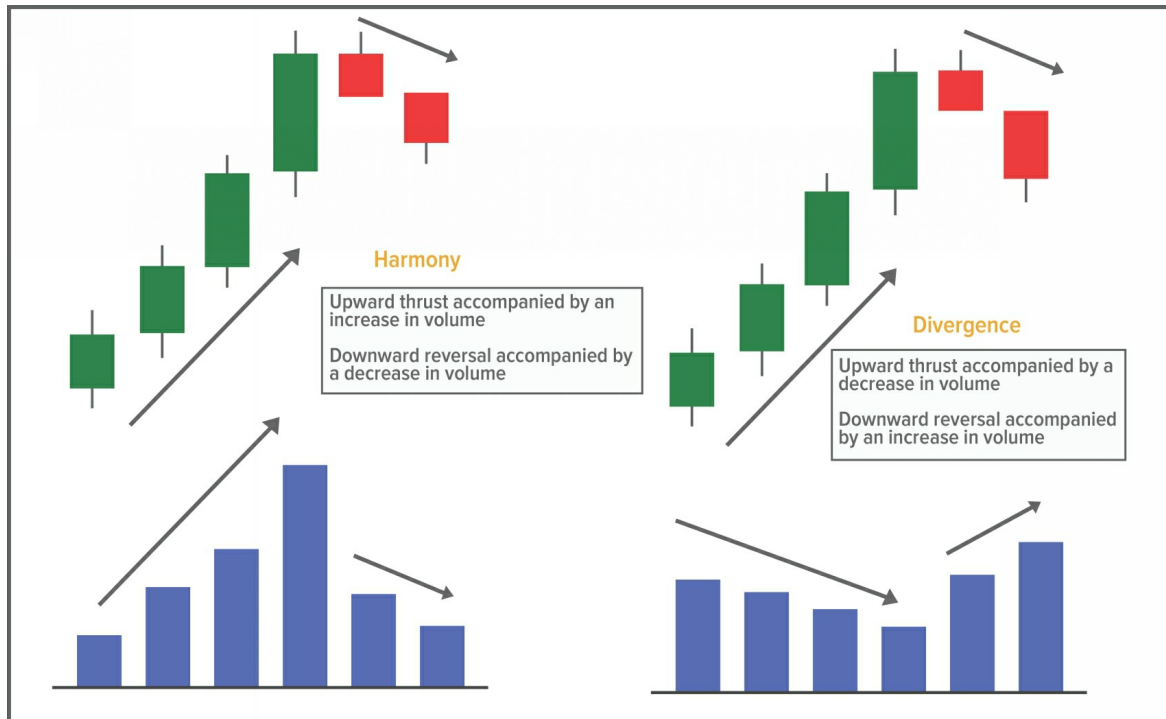
Therefore, we would obtain a harmony effort/result if that candle + that volume have continuation; and divergence if a turn is generated in the market.

In the development of the movements

We increase the portion of our analysis and on this occasion we analyze the price action and the volume in term of complete movements.

As a general rule, impulse movements will be accompanied by an increase in

volume as the price moves in the direction of least resistance; and backward movements will be accompanied by a decrease in volume.



Effort/Result in the development of the movements

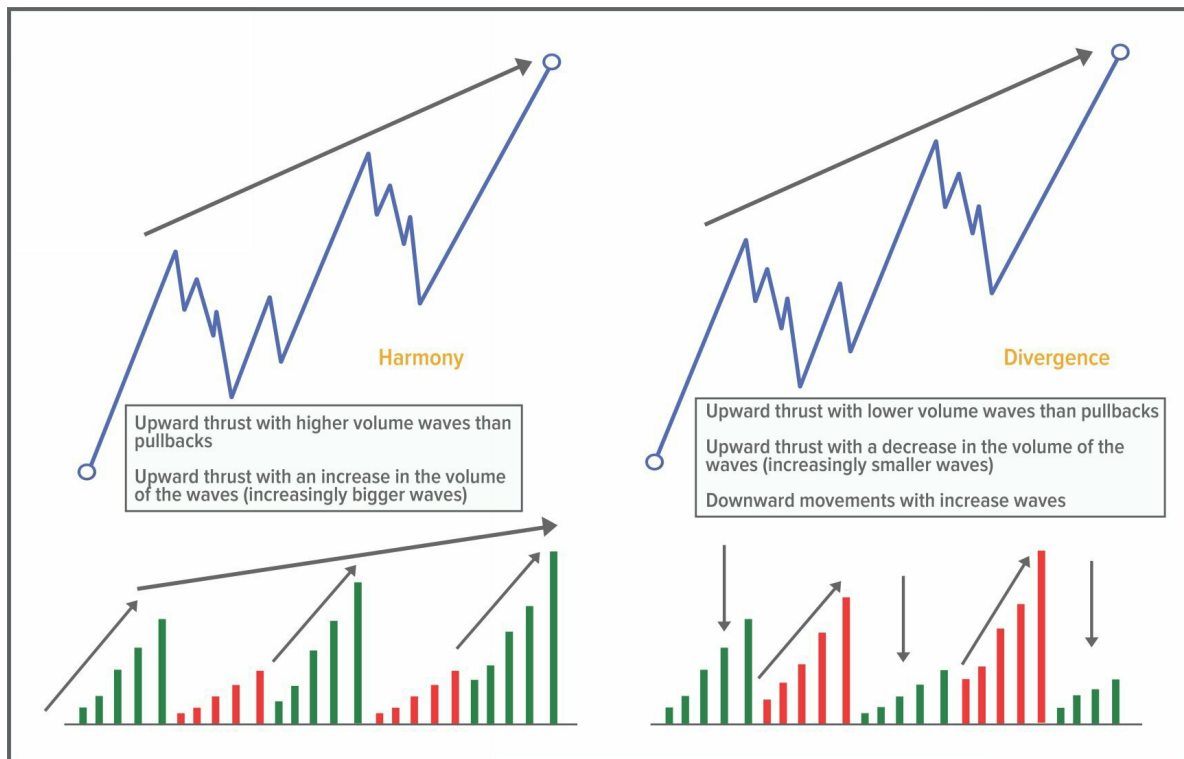
Then, we determine that there is harmony when an impulse comes with increased volume; and when a retreat comes with decreased volume.

Similarly, we determine divergence when we observe an impulsive movement (which generates a new maximum/minimum) with a decrease in volume and when we see a retrocession (we would have to evaluate if it is really a retrocession) with an increase in volume.

By Waves

This tool (originally created by David Weis) measures the volume that has been operated by each wave (up and down).

Effort/Result by waves



Overall, it allows us to assess market conditions and more accurately compare upward and downward pressure between moves.

A key fact to keep in mind when analyzing the waves is that not all the volume traded on a bullish wave will be purchases and that not all the volume traded on a bearish wave will be sales.

Like any other element, it requires analysis and interpretation. The analysis of effort and result is exactly the same.

It is a question of comparing the current wave of volume with the previous ones; as much with the one that points in its direction as with the one that goes in the opposite direction.

Harmony would be obtained if in an upward movement the upward impulses are accompanied by upward waves with a greater volume than the downward setbacks.

We would also determine a harmony if the price reaches new highs and each bullish impulse does so with an increase in the volume of the waves.

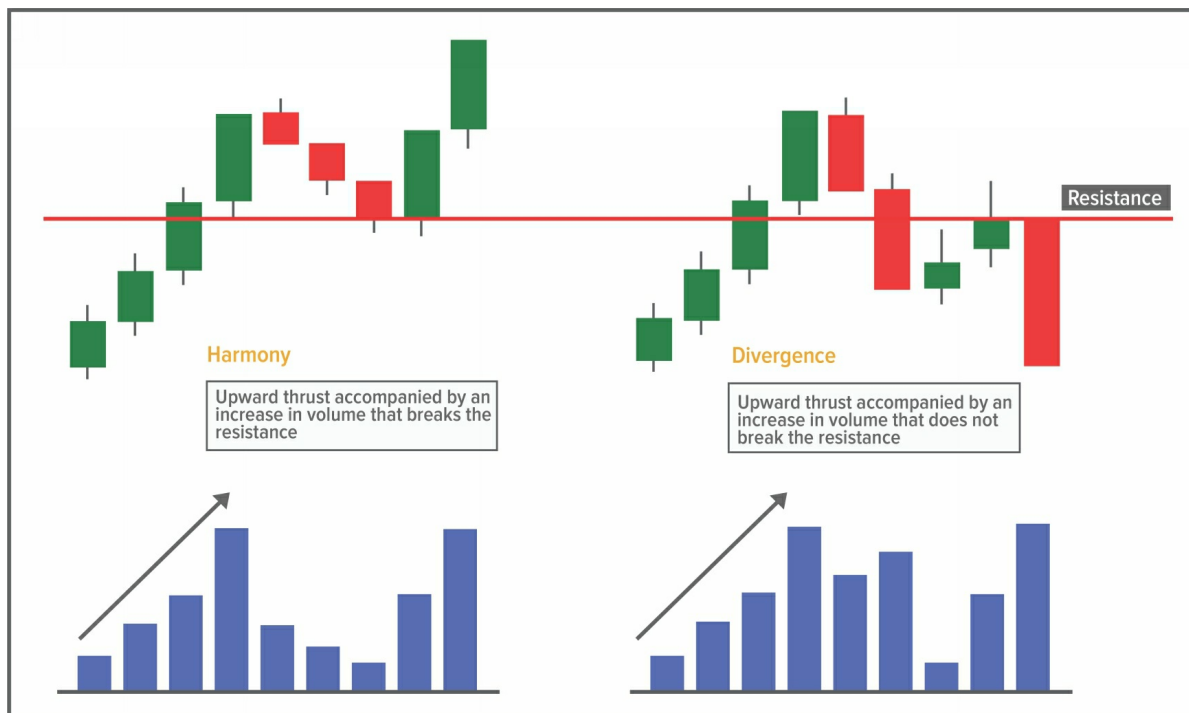
On the other hand, we would have a divergence if the price moves upwards but the rising waves are less and less; or if in that moving upwards the falling waves show greater strength.

By reaching key levels

It is one more way to evaluate this law of effort and result; this time, in terms of broken levels.

It is simple: if you approach a level with volume and make an effective break we will say that there is harmony effort/result in that breakout movement. That volume was intended to move forward and has absorbed all the orders that were placed there.

Effort/Result in Reaching Key Levels



If, on the other hand, you approach a level with volume and make a false break, we will say that there is divergence. All of that operated volume has been participating in the opposite direction to the level break.

It can be applied to any type of level. Whether horizontal (supports and resistances), with slope (trend lines, channel lines, inverted lines, converging, diverging), dynamic levels (moving averages, VWAP, bands); as well as any other level that establishes a specific methodology.

Effort/Result in Trends

In addition to what was previously studied, the evaluation of the effort/result can be included in other more general market contexts such as trends.

Generally, large relative volumes accompany the termination of a large movement, especially if accompanied by small price advances.

Therefore, a strong volume after a strong bearish trend indicates that the fall is almost complete. It may be a sales climax and you're probably starting an accumulation.

Similarly, a strong volume after a prolonged uptrend indicates that the end of the uptrend is near and that the distribution Phase may be beginning.

Lack of interest

Turns do not always occur when there is a considerable volume (effort) and a comparatively small price movement (result).

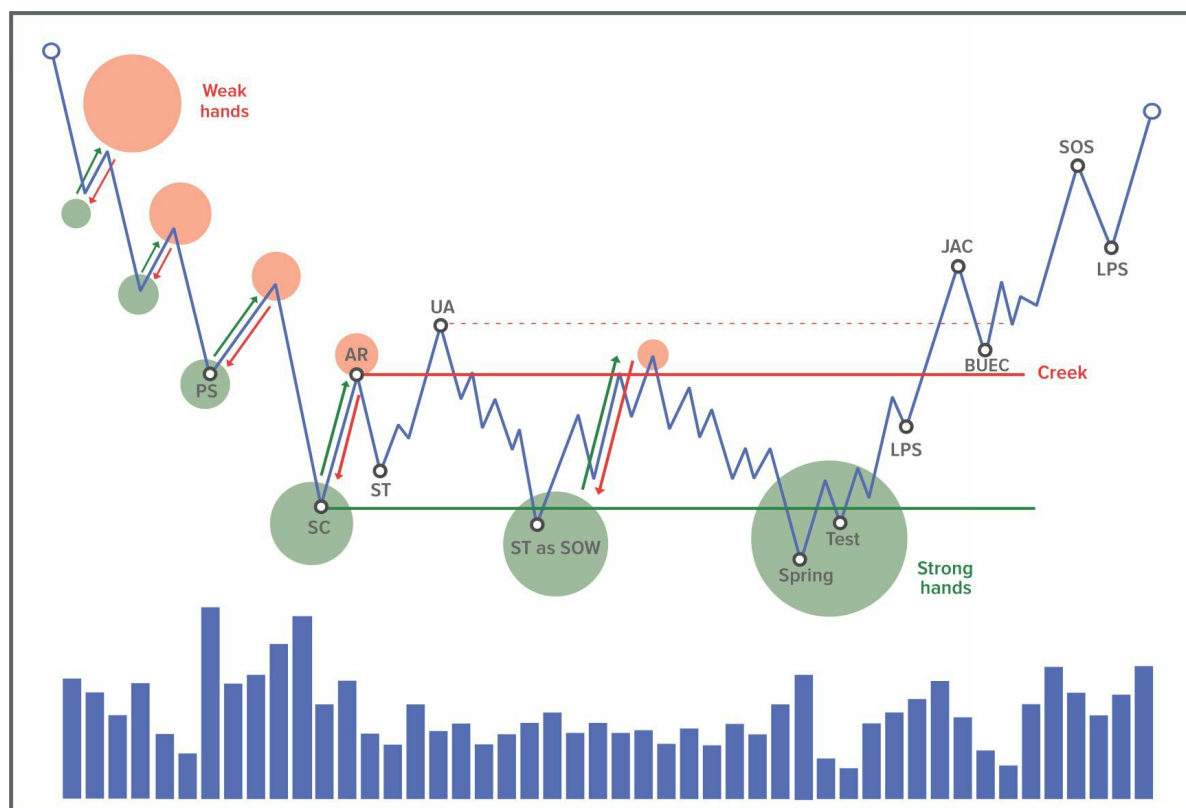
We find another way capable of causing a price twist; and that is lack of interest. Small volumes on market floors (after a considerable decline), or after a bearish reversal, generally indicate lack of selling pressure.

If there is no interest in continuing to fall, an appearance of buyers now would cause a turn upside. Similarly, small volumes on market ceilings (after a considerable rise) or after a bullish retreat, usually indicate lack of buying pressure that would lead the price to a bearish turn with the appearance of sellers.

Remember that sudden relative increases or decreases in volume are significant and will help you identify when a movement may be ending or about to end.

Part 4 - The processes of accumulation and distribution

Chapter 10 - Accumulation



Stock Exchange in Accumulation

An accumulation range is a lateral movement of the price preceded by a bearish movement on which an absorption manoeuvre is carried out by the big operators with the objective of accumulating stock in order to be able to sell it at higher prices in the future and make a profit from the difference.

Stock control

During the development of the bass movement that precedes it, control of the stock will be mainly in weak hands. In order to be able to turn a market, it is necessary for that stock to be controlled by the great professionals, by the strong hands.

As the price falls, the stock gradually changes hands; the more it falls, the

greater the stock is in strong positions. It is during the development of the accumulation structure that the final process of absorption takes place. The moment at which the price is ready to start the upturn.

The law of cause and effect

It is in these range conditions where we see in operation the law of cause and effect in trading; which tells us that for there to be an effect, there must first be a cause that originates it; and that the effect will be in direct proportion to the cause.

In the case of the accumulation range, the purchase of stock (cause) will have the effect of a subsequent upward trend movement; and the extent of this movement will be in direct proportion to the time the price has spent building that cause (absorbing the stock).

The preparation of an important movement takes considerable time. A big trader can't buy everything he wants all at once because if he executes an order with all the quantity he wants, he would get worse prices due to the displacement his own order would generate.

In order to perform this task, professionals need to plan and execute a careful plan with which to try to absorb all available stock at the lowest possible average price.

Handling maneuvers

In the accumulation process, large operators create an environment of extreme weakness. The news at this point is likely to be bad and many will be influenced to enter the wrong side of the market. By means of various manoeuvres, they manage to make themselves little by little with all the available offer.

In the accumulation range we observe a fundamental event that characterizes this type of context since in many occasions it is the action that initiates the trend movement. It's the bass shake, also known as "Spring" It is a sudden downward movement which breaks the support level of the range and with which the big traders are used to carry out a triple function: To reach the stop loss of those traders who were well positioned on the long side; to induce for

sale the ill-informed traders who think in the continuation of the downward movement; and to profit from such movement.

While it is true that this shaking event is an action that adds strength to the bullish scenario, it is also true that it will not always happen. You should be aware that on many occasions the development of the uptrend will begin without this terminal action. This is a context that is somewhat more difficult to determine but equally valid.

At the same time, they need to take the "weak hands" out of the market. These are traders who, if they are positioned to buy, will very soon close their positions assuming short profits; and this closing of buy positions are sales orders that the big traders will have to keep absorbing if they want to keep pushing the price. One action they take to get rid of this type of weak operator is to generate a flat, boring market context in order to discourage these operators from finally closing their positions.

Counterparty, liquidity

Both the fact of reaching the stops of the purchase positions, as well as the entry in sale of some operators, provides liquidity to the professionals that are accumulating; since both actions execute sales to market; and these sales are the counterpart that the big operators need to marry their purchases.

In addition to this, when the bullish reversal occurs back into the range, stops will also be executed for those who entered with selling positions during the bearish break, adding strength to the bullish movement.

The path of least resistance

Professionals with interests above will not initiate the movement until they have verified that the path of least resistance is on the rise. This is achieved by carrying out various tests to check the level of commitment of the sellers.

As with Spring, they will initiate downward movements to verify the tracking it has. An absence of volume at this point would suggest a lack of interest in reaching lower prices.

This is why sometimes you see more than one Shake within the range; these are tests that professionals develop to make sure they won't find resistance at

higher prices.

Common characteristics of the accumulation ranges

The following are key features of the cumulation ranges:

- **Decrease in volume and volatility as the range develops.** There will be less and less stock available for sale and therefore price and volume fluctuations will be gradually reduced.
- **Tests to the high zone of the range without volume,** suggesting an absence of selling interest; except when the price is prepared to initiate the movement out of the range.
- **Springs to previous lows;** either over the support area or over minor lows within the range.
- **Wider and smoother upward movements and bars than bassists.** This denotes an influx of good quality demand and suggests that supply is of poor quality.
- **Development of rising highs and lows.** This sequence should already be observed in the last stage of the range, just before the start of the bullish jump. Denotes total control by buyers.

Beginning of the bullish movement

When there is no longer any stock to be absorbed, a turning point takes place. Value control is in the hands of the strong and they will only get rid of their positions at much higher prices. A slight increase in demand now would provoke a sudden upward movement in prices, initiating the upward trend.

The chart, titled "The Market's Pulse," displays a blue line graph representing market performance over time. The graph is annotated with red circles labeled "Weak hands" and green circles labeled "Strong hands." Horizontal lines indicate key levels: a red line labeled "Creek" and a green line labeled "Strong hands." The chart also features a bar chart at the bottom, likely representing volume or another market metric. The line graph shows a series of peaks and troughs, with labels such as PS, AR, SC, ST, UA, ST as SOW, Spring, Test, LPS, BC, ST, UA, PSY, AR, ST as SOW, Shakeout, Test, LPS, SOS/JAC, BU/BUCC, and SOS. The "Weak hands" circles are positioned at peaks, while the "Strong hands" circles are positioned at troughs. The "Creek" line is a horizontal red line, and the "Strong hands" line is a horizontal green line. The bar chart at the bottom consists of blue bars of varying heights.

The reaccumulation process is exactly identical to the accumulation process. The only difference between the two is the way the structure begins to develop. While the accumulation range begins by stopping a bearish movement, the reaccumulation range begins after the stop of an upward movement.

The reaccumulation process is exactly identical to the accumulation process. The only difference between the two is the way the structure begins to develop. While the accumulation range begins by stopping a bearish movement, the reaccumulation range begins after the stop of an upward movement.

Stock Absorption

A reaccumulation is the result of a previous uptrend that needs to be consolidated. The hands that control the value will change during the course of the trend.

At the beginning of an uptrend, the value is under the control of very strong owners (professional traders, strong hands), but as it develops, the stock will gradually shift to less informed operators, weak hands.

At this point, it is said that the demand is of poor quality and the market needs to restart a process of stock absorption in which again it is the big operators who take control.

Duration of the structure

A key point to keep in mind is that the duration of this structure will be influenced by the percentage of strong and weak hands that have control of the value.

If at the beginning of the reaccumulation the value is still mainly in strong hands, the duration of the structure will be shorter. If, on the other hand, it is the weak hands that control most of the stock, a longer period of time will be necessary to be able to redevelop the purchasing process.

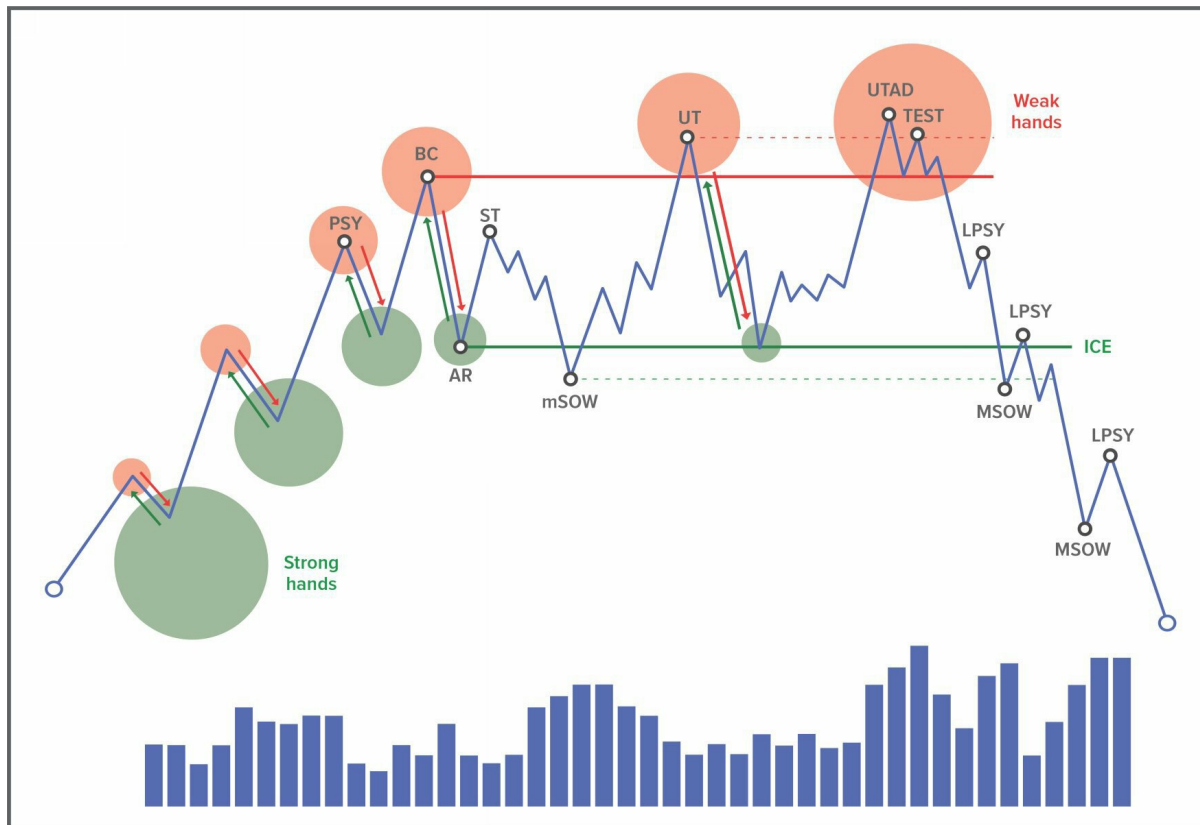
The objectives of the main accumulation will not yet be met and this structure is developed to add new demand to the market with which to continue the upward movement towards these objectives.

Reaccumulation or Distribution

A judicious analysis of price and volume action is very important in order not to make the mistake of confusing a reaccumulation range with a distribution range.

Both are initiated in the same way, after the stop of an upward movement. It becomes necessary to automate the characteristics of the accumulation ranges, as this is one of the most compromising situations that any Wyckoff operator will encounter.

Chapter 12 - Distribution



Stock Exchange in Distribution

A

distribution range is a lateral movement of the price which manages to stop an upward movement and in which there is a process of selling stock by well-informed professionals, who have interests at lower prices. They try to store a great position in order to get rid of it at lower prices and get a return for it.

The law of cause and effect

It is in these range conditions where we see in operation the law of cause and effect so cooked in the world of trading; which tells us that for there to be an effect, there must first be a cause that originates it; and that the effect will be in direct proportion to the cause.

In the case of the distribution range, the sale of stock (cause) will have the effect of a subsequent downward trend movement; and the extent of this movement will be in direct proportion to the time the price has spent building that cause (absorbing the stock).

The preparation of an important movement takes considerable time. A large trader cannot build his entire position at once because if he executes his sell orders with an order containing all the quantity he wants, the very aggressiveness of the order would shift the price downwards until he finds the necessary demand with which to match his sell orders and this would lead to worse prices.

In order to perform this task, professionals need to develop and carry out a careful plan with which to try to absorb all available market demand at the highest possible average price.

Handling maneuvers

During this distribution process, the large operators, supported by the media (often at their service) generate an environment of extreme strength. What they are looking for with this is to attract as many traders as possible since it will be the purchases of these traders who will give the necessary counterpart to match their sales orders.

Misinformed traders don't know that strong professionals are building a great selling position because they have interests below. You'll be entering the wrong side of the market. By means of various manoeuvres, they are able to make themselves little by little with all the available demand.

In the distribution range, as in the accumulation range, we will be presented with the fundamental event of the shock. While it is true that not all structures will see this action before starting the trend movement, the fact of its presence adds great strength to the scenario.

In the case of a bullish shock, the Wyckoff methodology calls it "Upthrust". This is a sudden upward movement which breaks the resistance level of the range and with which large traders are used to carry out a triple function: Reach the stops loss of those traders who were well positioned on the short side; induce in buy to ill-informed traders who think in the continuation of the bullish movement; and profit from such movement.

At the same time, they need to take the "weak hands" out of the market. These are traders who, if positioned for sale, will very soon close their positions assuming short profits; and this closing of sale positions are buy orders that the big traders will have to keep absorbing if they want to keep pushing the price. One action they take to get rid of this type of weak operator is to generate a flat, boring market context in order to discourage these operators from finally closing their positions.

Counterparty, liquidity

The professionals who are building their position are obliged to carry out this type of manoeuvre. Due to the magnitude of their positions, it is the only way they have to be able to operate in the markets. They need liquidity with which to match their orders and the jerk event is a great opportunity to get it.

The stop jumping of sell positions, as well as traders entering long, are buy orders that must necessarily be crossed with a sell order. And indeed, it is the well-informed traders who are placing those sales orders and thus absorbing all the purchases that are executed.

In addition, when the bearish reversal occurs after the shake, the stops of those who bought will also be executed, adding strength to the bearish movement.

The path of least resistance

Once the development of the range is coming to an end, the great professionals will not initiate the downward trend movement until they can verify that effectively the path of least resistance is down.

They do this through tests with which they evaluate the buyer's interest. They initiate upward movements and depending on the second participation (this

will be observed by the volume traded in that movement) they will value if demand remains available or if on the contrary the buyers are exhausted. An absence of volume at this point would suggest a lack of interest in reaching higher prices.

This is why you sometimes see more than one Shake in the range; these are tests that professionals develop to make sure they won't find resistance at lower prices.

Common characteristics of the distribution ranges

The following are key characteristics of the distribution ranges:

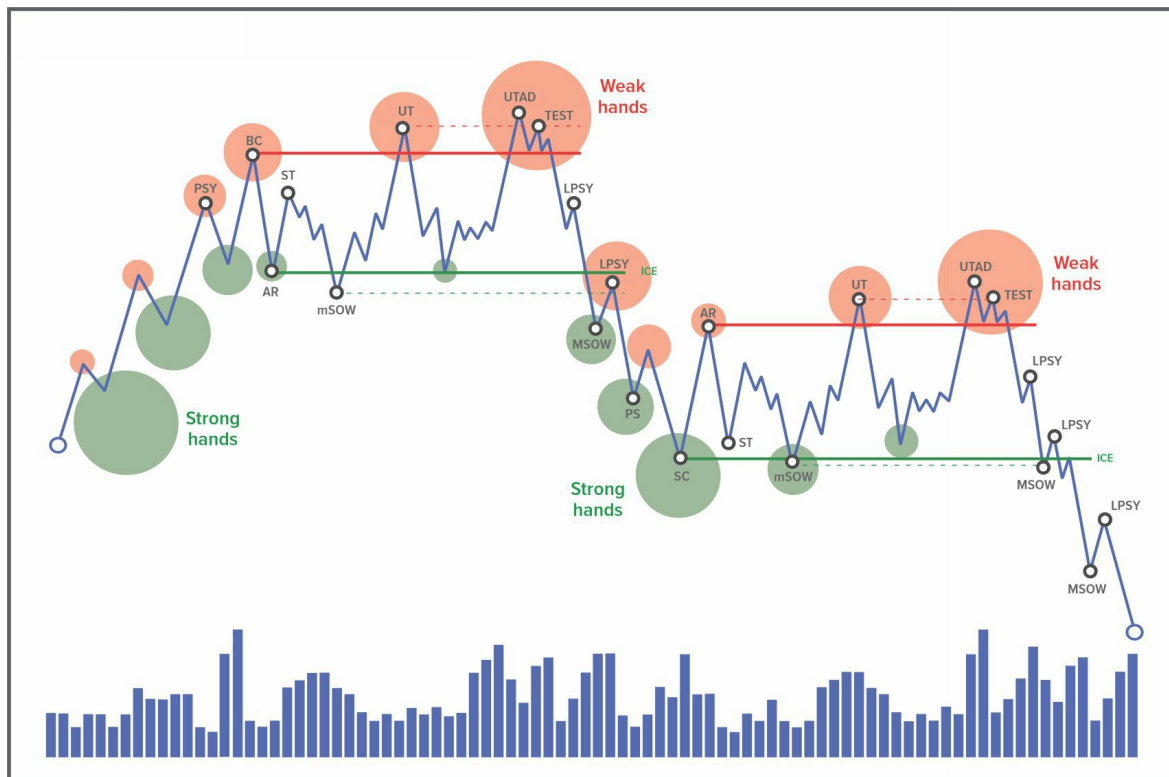
- **High volume and volatility during range development.** Wide price fluctuations will be observed and the volume will remain relatively high and constant.
- **Tests to the lower zone of the range without volume,** suggesting an absence of buyer interest; except when the price is prepared to initiate the movement out of the range.
- **Upward Shakes to previous highs;** either over the resistance area or over minor highs within the range.
- **Wider and more fluid movements and down bars than up movements and up bars.** This denotes entry of quality supply and suggests that demand is of poor quality.
- **Development of decreasing maximums and minimums.** This sequence should already be observed in the last stage of the range, just before the start of the bearish jump. What he's suggesting is that the bassists are being more aggressive.

Beginning of the Bearish Movement

When demand is no longer available, a turning point takes place. Value control is in the hands of the strong and they will only get rid of their

positions at much lower prices. A slight increase in supply now would provoke a sharp downward movement in prices, initiating the downward trend.

Chapter 13 - Redistribution



Stock Exchange in Redistribution

The redistribution Phase is a range that comes from a bearish trend and is followed by a new bearish trend. Multiple Phases of redistribution can occur within a large bear market. This is a pause that refreshes the value to develop another downward movement.

Redistribution or accumulation

This type of structure starts the same as the accumulation ranges; therefore a very judicious analysis is necessary in order not to lead to erroneous conclusions. This aspect is undoubtedly one of the most difficult tasks for the Wyckoff operator: to know how to distinguish between a redistribution range and an accumulation range.

Stock control

During the periods of redistribution, the great professional who is already short returns to sell around the top of the range and potentially cover (close/buy) some of his positions near the base of the range.

In general, they are increasing the size of their short position during range development. The reason they close some of their short positions at the base of the range is to provide price support and not to push it down prematurely before they can establish a significant short position.

Redistribution remains volatile during and at the end of its development before continuing the downtrend.

The hands that control the value will change during the course of the trend. At the beginning of a bearish trend, the value is under the control of very strong owners (professional traders, strong hands), but as it develops, the stock will gradually change towards less informed operators, weak hands. At this point, it is said that the supply is of poor quality and the market needs to restart a process of stock absorption in which again it is the big operators who take control.

Duration of the structure

The percentage of strong and weak hands that have control of the value will influence the duration of the structure. If at the beginning of the redistribution the value is still mainly in strong hands, the duration of the structure will be shorter. If, on the other hand, it is the weak hands that control most of the stock, a longer period of time will be necessary to be able to redevelop the sales process.

The objectives of the main distribution will not yet be met and this structure is being developed to add new selling positions to the market with which to continue the downward movement towards these objectives.

Part 5 - Events

The Wyckoff methodology attempts to identify logical patterns of price turn during which market control is defined.

In this section we will present the sequence that follows the price in the development of these structures. Although there are operators who apply it differently, from my point of view it is advisable to observe such events from a practical point of view, subtracting rigidity and providing as much flexibility as possible to the analysis.

The events are the same for both cumulations and distributions. The only thing that changes in some cases is the name, but the underlying logic behind them is the same. We will divide the sections by events and within them we will explain both the example of upward and downward turns.

The list of events

Although they will be further developed later, we make a brief summary of the logic of each of the events that will appear:

Event #1: Preliminary Stop

The preliminary stop is the first attempt to stop the trend movement underway, the result of which will always fail. It is an early warning that the trend may be coming to an end.

Event nº2: Clímax

This is the culmination movement of the preceding trend. After having covered a great distance, the price will reach an extreme condition that will provoke the appearance of the great professional.

Event nº3: Reaction

It is the first great signal that suggests the change of sentiment in the market. We go from a market in control by either of the two forces to a market in equilibrium.

Event n°4: Test

This event has different readings depending on the location where it takes place. In general terms it tries to evaluate the commitment or absence of it on the part of the operators in a certain moment and direction.

Event n°5: Shaking

Key moment for the structure analysis. It is the last deception developed by the professional before initiating the tendential movement in favor of the least resistance.

Event n°6: Breakout

It is the greatest proof of commitment that the professional has to assume. If you have done a good previous work of absorption, you will break relatively easily the structure in order to continue the movement out of it.

Event #7: Confirmation

If the analysis is correct, a rupture test will be developed which will confirm that the professional is positioned in that direction and supports the movement.

Chapter 14 - Event #1: Preliminary Stop

This is the first Wyckoff method event that appears to initiate the Phase A stop of the previous trend.

In the case of accumulation schemes, it is called Preliminary Support (PS), which together with the Selling Climax (SC), the Automatic Rally (AR) and the Secondary Test (ST) produces the change in character with which it makes the price evolve from a downward trend environment to a lateralisation environment.

In the example of the distribution structures it is called Preliminary Supply (PSY), which in conjunction with the Buying Climax (BC), the Automatic Reaction (AR) and the Secondary Test (ST), puts an end to Phase A, stopping the previous upward trend and initiating Phase B, the construction of the cause.

As we know, the processes of accumulation and distribution require time and on rare occasions the price will develop a hypodermic scheme visually leaving a V turn. This accumulation process begins with this first event, with Preliminary Support and Preliminary Supply.

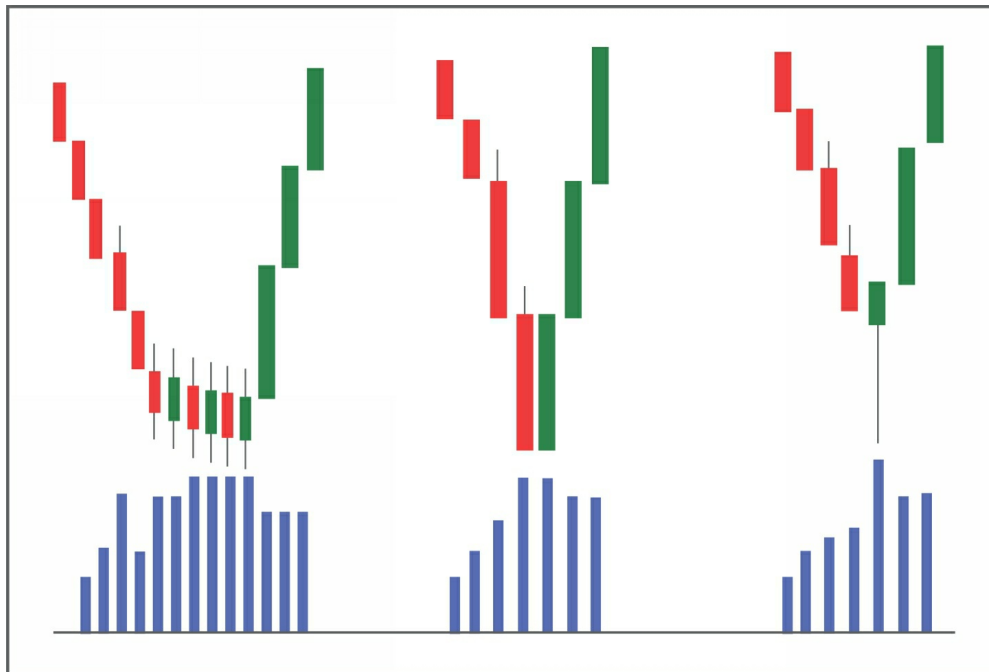
Before this event takes place, the market will find itself in a clear trend. At some point, the price will reach a level attractive enough for large traders that they will begin to participate more aggressively.

How the preliminary stop appears on the graphic

The observation of this event on the graph is generally misinterpreted as it is not necessarily necessary to observe a bar with increased volume and expansion in the ranges.

It can also be seen on a set of bars with a relatively narrower range and a constant high volume during all of them; or even on a single bar with a high volume and a large wick. These representations in the end denote the same

Visualization of Bullish Rotation with Large Volume



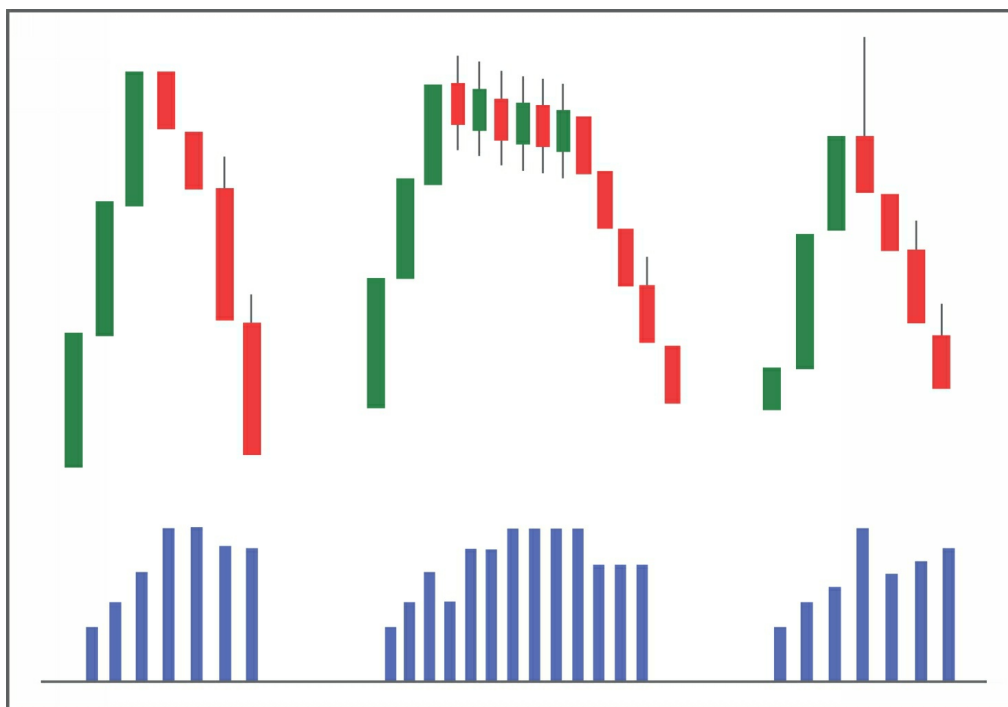
thing: the first relevant entry of the big operators.

He recalls one of the most important quotes from Tom Williams' book "Master the Markets" in which he says something like that the market does not like large trend bars with significant volume increase after a prolonged move as they usually denote an opposite sentiment.

Observing a large bearish bar with a peak of volume and closing at minimums after a prolonged downward movement is a very clear indication of professional buying.

It is likely that this stock will reach an oversold condition in relation to the bearish channel that is respecting the price stock during the bearish movement.

Visualization of bearish turn with great volume



The psychology behind the preliminary stop

We are now going to study the crossing of orders that occurs during such action. Remember, for someone to buy, there must be someone to sell.

Ask yourself what both the misinformed operator or "weak hand" and the well-informed operator or "strong hand" are doing at that point.

As we have commented, after determining that the market has reached a value price on which to start a campaign, the one that will be absorbing all the stock will be the big operator; and it is the ill-informed operators who are providing them with all the liquidity they need to build their positions.

We found different profiles of ill-informed operators that facilitate this fact:

- **The greedy.** There will be a group who see price move abruptly and enter the market to avoid being left out of a potential move in their favor.
- **The fearful.** This group has been holding losing positions for a long period of time and its limit is very close. After seeing the price move again against them and for fear of further increasing the loss, they finally decide to abandon their position.
- **The smart ones.** They will have been able to anticipate the turn and they will already be in the market; but their timing has not

been precise and this movement takes them out making them jump their protection stops.

Uses of the preliminary stop

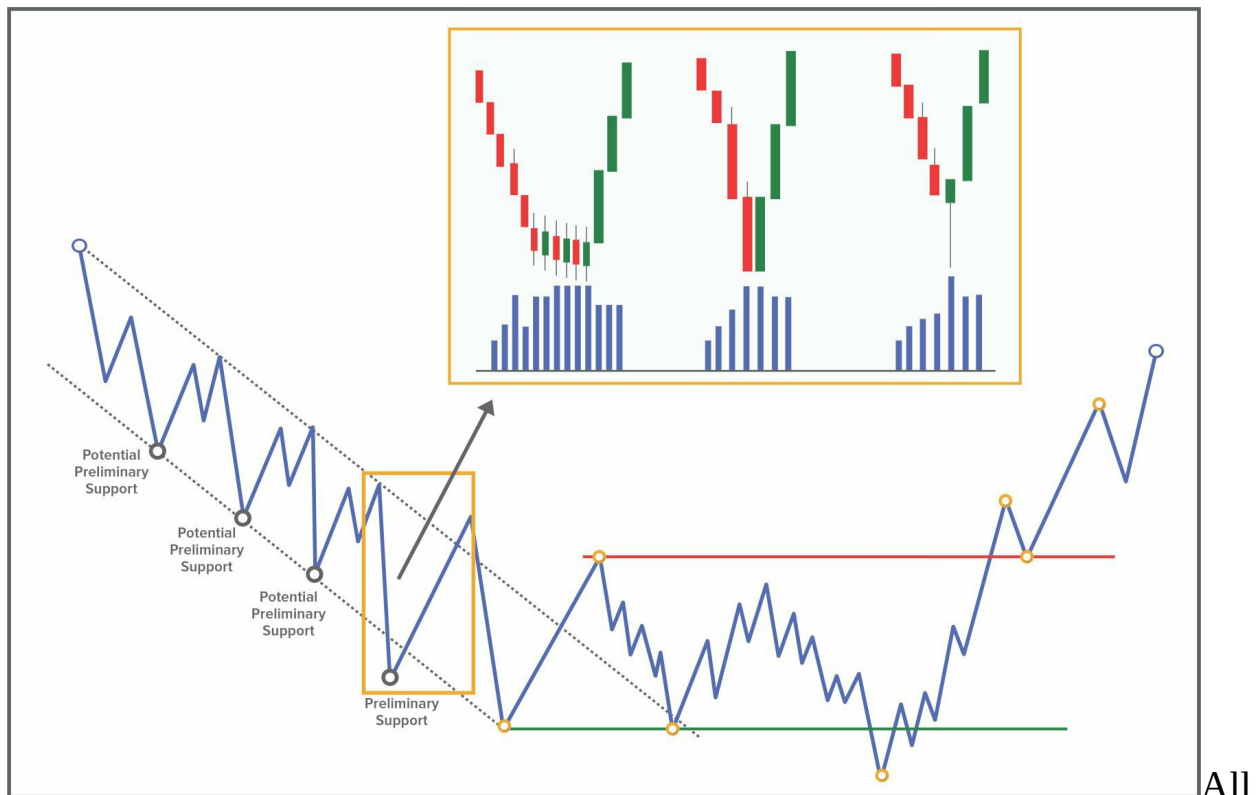
But then, what's the point of identifying this first stop event? As we have already mentioned, this is the first stop action of the previous trend movement and therefore we can draw two clear conclusions:

- Stop thinking about continuing to trade in favor of the previous trend at least initially, as the structure has yet to be confirmed as continuing or turning.
- This is an excellent point to take profits.

Preliminary Support

As we know that a bearish trend does not stop at once, it is possible to find numerous attempts to stop the fall before the successful one takes place. It's the inertia of the trend. It is like a moving vehicle; once the cruising speed is reached, even releasing the foot of the accelerator, the car will continue in the direction for a time by its own inertia.

Preliminary Support



those stop attempts are Preliminary Support. The more there are, the more likely it is that the last extreme of the bearish trend will finally occur without a significant increase in volume.

The fact of seeing repeated Preliminary Support suggests that the professional has been eliminating offer from the market and when the last minimum is reached, few will be willing to sell; and this will make that last extreme occur without a peak in volume. It will also be a Selling Climax, in this case without an ultra-high volume: the movement stops due to exhaustion. We'll talk about it when we develop this climate event.

Actually, they are Preliminary Support from a functional point of view;

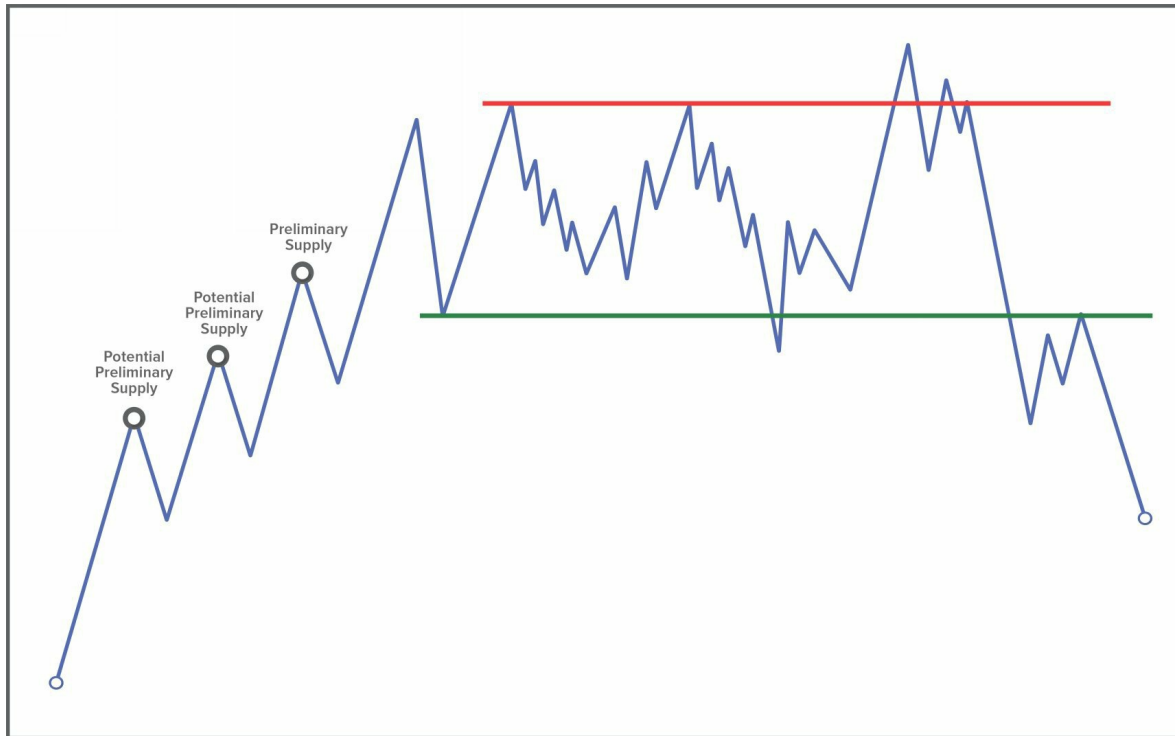
because for the Wyckoff methodology, the Preliminary Support as such will be the penultimate attempt to stop the downtrend (the last will be the Selling Climax). Therefore, it would be best to label them as potential Preliminary Support.

This potential PS will be confirmed as the genuine PS when the price develops the four Phase A events that establish the character change.

This first participation of the professional does not imply that the price should be rotated immediately. As we have already commented; in certain market conditions the price will develop a V turn accumulating all the necessary stock during the fall. We repeat that although this type of hypodermic accumulation is not the most likely, we must be alert to its possible development.

Preliminary Supply

Preliminary Supply



Before the real Preliminary Supply takes place, the most logical thing would be to find ourselves with numerous previous attempts. These attempts should be labeled as potential Preliminary Supply.

The fact of seeing repeated Preliminary Supply suggests that the professional has been eliminating demand from the market and when the last maximum is reached, there will be few who are willing to buy; and this could cause that last extreme to occur without a significant volume.

Chapter 15 - Event #2: Climax

It is the second event of the methodology and appears after the stop attempt in the Preliminary Support/Supply.

In the cumulative examples we will call it Selling Climax (SC) while for the distributive structures we will label it Buying Climax (BC).

After the appearance of a large volume after a prolonged trend (potential standstill), we will be attentive to the possible identification of this climatic

event. As we always say, this is one of the greatest benefits of the Wyckoff methodology: it provides us with a market context. We know what to look for.

But something important to keep in mind is that Preliminary Support/Supply events do not always appear within the sequence and their function can be performed at the same time by the climax event. That is why we insist time and again on the importance of giving the market some flexibility. We have a context and a basic sequence but it is necessary to allow the market to express itself freely, without trying to force it into our map, because wanting to exercise control over the market would be a mistake. The key to determine if we are directly before the climax will be obtained from the price; it will be necessary to see a strong reaction (Event No. 3) and a test (Event No. 4) that give the end of Phase A stopping the trend.

Keys to climax

Two things can happen after the weather event; a reaction (Automatic Rally/Reaction) or a lateral movement. If a reaction appears, it will be followed by a Secondary Test; conversely, if a lateral movement takes place, the market will most likely continue in the direction of the previous trend.

A very relevant aspect is that this event needs to be tested to verify its authenticity (with the Secondary Test). A much lower volume in a subsequent test shows a decrease in selling pressure.

This event is known as "No Supply" and "No Demand" within the VSA (Volume Spread Analysis) approach.

Something very important to emphasize is that the climax will not necessarily be the greatest end of the structure. During the development of the same we could observe several tests (failed attempts to make minimums lower or maximums higher) during Phase B as well as the test event in Phase C (Spring/UTAD) that normally shakes the end of it.

How the climax appears on the graph

Although the principle does not change; it can manifest itself in different ways in terms of price and volume representation.

There is a prevailing belief within the world of price and volume analysis that

this event should be viewed as a bar with increasing volume and expanding ranges. Even if this definition were correct, it would be incomplete because there are other forms of representation.

On the one hand, it can be seen on a set of bars with a relatively narrower range and with a high and constant volume during all of them. Another way would be on a single bar with high volume and a large wick at the bottom.

All these representations in the end denote the same thing: strong entry of buyer interest on the part of the large operators.

Regardless of the characteristics of the weather event, when we look at the genuine Automatic Rally/Reaction and Secondary Test, we will automatically label the previous movement as Climax.

The psychology behind the climax

If we remember, due to the very nature of markets; for someone to be able to sell, someone else must have been willing to buy. So, it is a good idea to ask ourselves now, for example, who will be assuming all the sales that take place in the Selling Climax or the purchase of the Buying Climax.

Logic leads us to think that who is providing the counterparty is the big operator because it is he who has the ability to move the market and stop an abrupt fall or rise in price.

He has probably determined that the price is in an overextended condition and is happy to start a campaign in this area to absorb stock.

What are the reasons that lead the ill-informed operator to provide the liquidity that large operators need? We recall the origin of those liquidity providers already seen in the preliminary stop event:

- **The greedy.** There will be a group who see the climate movement and enter the market for fear of losing it.
- **The fearful.** Another group, generally with medium- to long-term positions, will have stockpiled and will have withstood much of the previous trend movement. They are in losses and when they see a new movement against them they decide to close their positions to avoid greater losses.
- **The smart ones.** A last group of traders, believing themselves to

be the smartest in the class, will want to anticipate the turn and at that point they will probably already find themselves with open positions. This third type of counterparty occurs when the protection stop of these positions is skipped.

Uses of Climax

The identification of this event is very important because it signals the entry of professionals and therefore it is a supported action and quality.

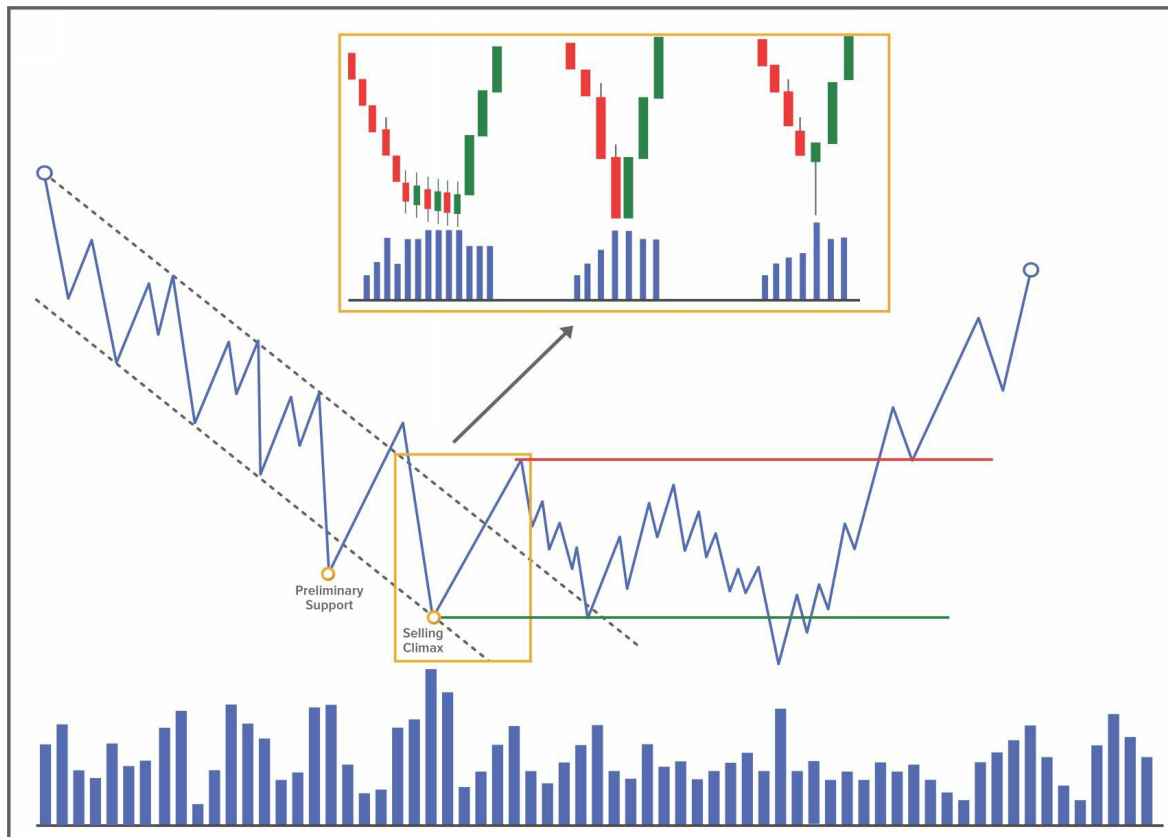
What advantage can we gain by correctly identifying this event? As it is a stop action of the previous trend movement and pointing out the professional participation we can draw two clear conclusions:

- We must stop thinking about continuing to trade in favor of the previous trend. At least until we confirm whether the structure is about rotation or continuity.
- We are facing the last clear opportunity to take profit from our open positions if we did not do so on the stop event.

It is not recommended to start positions at this point as the assumed risk would be too high. However, it is true that some of the most experienced Wyckoff traders take advantage of this type of context to take short distance trades looking for the rebound to event #3 (Automatic Rally/Reaction).

Selling Climax

Selling Climax



This Selling Climax event is in the background similar to the Preliminary Support event. Both the way it can appear on the graph and the psychology behind the action are exactly the same. Also initially we must treat it as Selling Climax potential since the confirmation will arrive to us when the two later events appear that confirm the end of the Phase A (Automatic Rally and Secondary Test).

The Selling Climax is a very powerful sign of strength. After a period of falling prices, you will reach a point where, supported by very negative news, the market will plummet rapidly. At that point, prices are now attractive for smart money and will begin to buy or accumulate at those low levels.

Selling Climax occurs after a significant downward movement. This is the second event to appear after the Preliminary Support and takes place within the Phase A stop of the previous bearish trend.

This climatic movement is generated by three reasons that we will detail next

and that together provoke a snowball effect for which the price does not stop falling.

Within the Wyckoff methodology it has special relevance since with its appearance we can begin to define the limits of the range; and it is that its minimum establishes the lowest end of the structure (support zone).

The Selling Climax of exhaustion

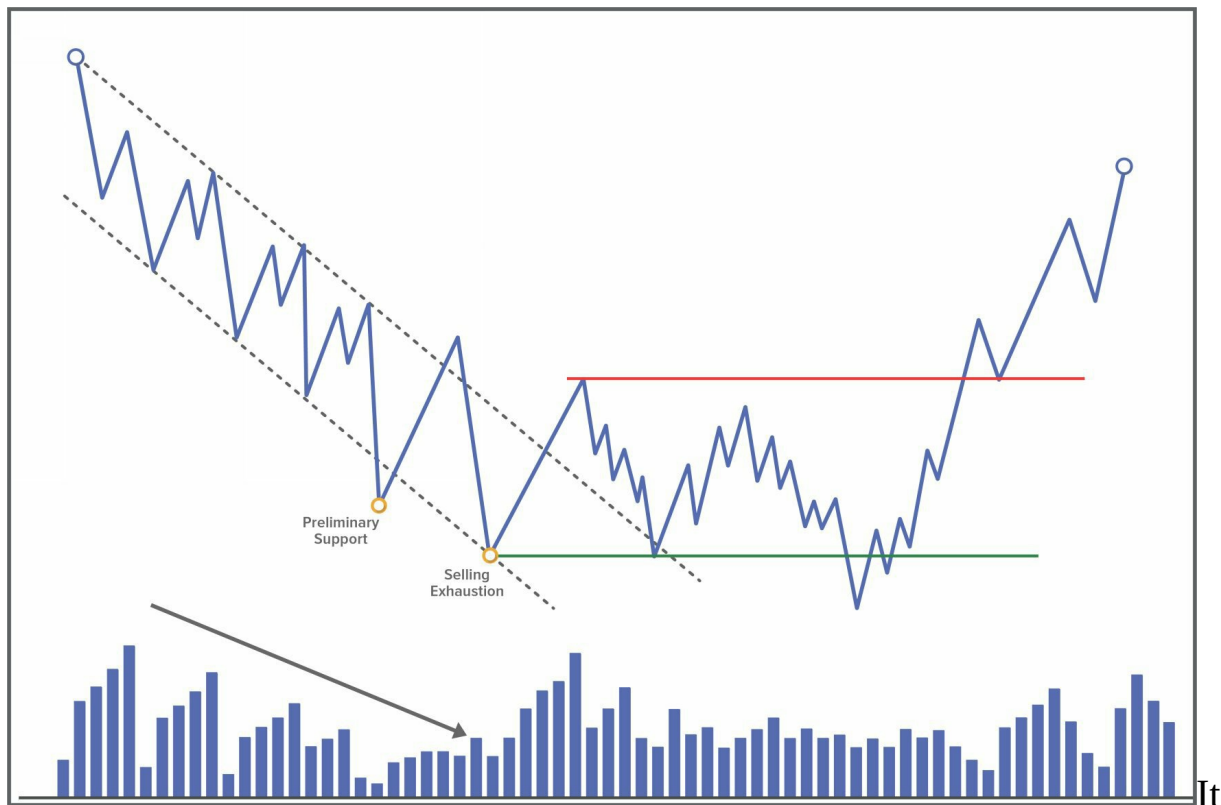
A downward trend will not always end with a climatic volume. There is another way to come to an end and it occurs when the sale that is controlling the condition of the market is gradually disappearing.

Sellers stop being interested in lower prices and close their positions (take profits). This lack of aggressiveness of the shorts would create a potential market ground for exhaustion.

Obviously, this disinterest will be represented on the chart with candles of normal or narrow range and average or even low volume.

The curious thing about this action is that, even if we are not facing a climatic event that precedes the end of a trend, within the labeling of the structure we would continue to identify that minimum as the Selling Climax.

Selling Exhaustion



must be made clear that the methodology originally did not treat this action as such Selling Climax; and it makes perfect sense because at no time did we observe this characteristic climax.

Although we always advocate treating market actions from a functional point of view, on this occasion we must observe this exhaustion from an analytical point of view in order to frame it within the structure's etiquette.

Perhaps we could propose to the whole Wyckoffian community a new event that would identify this end of the downward trend due to exhaustion. Something like "Selling Exhaustion" could be representative of the action you are referring to.

To emphasize of the Selling Exhaustion is that a signal of its possible appearance we obtain it when the price develops continuous actions of Preliminary Support every time lower.

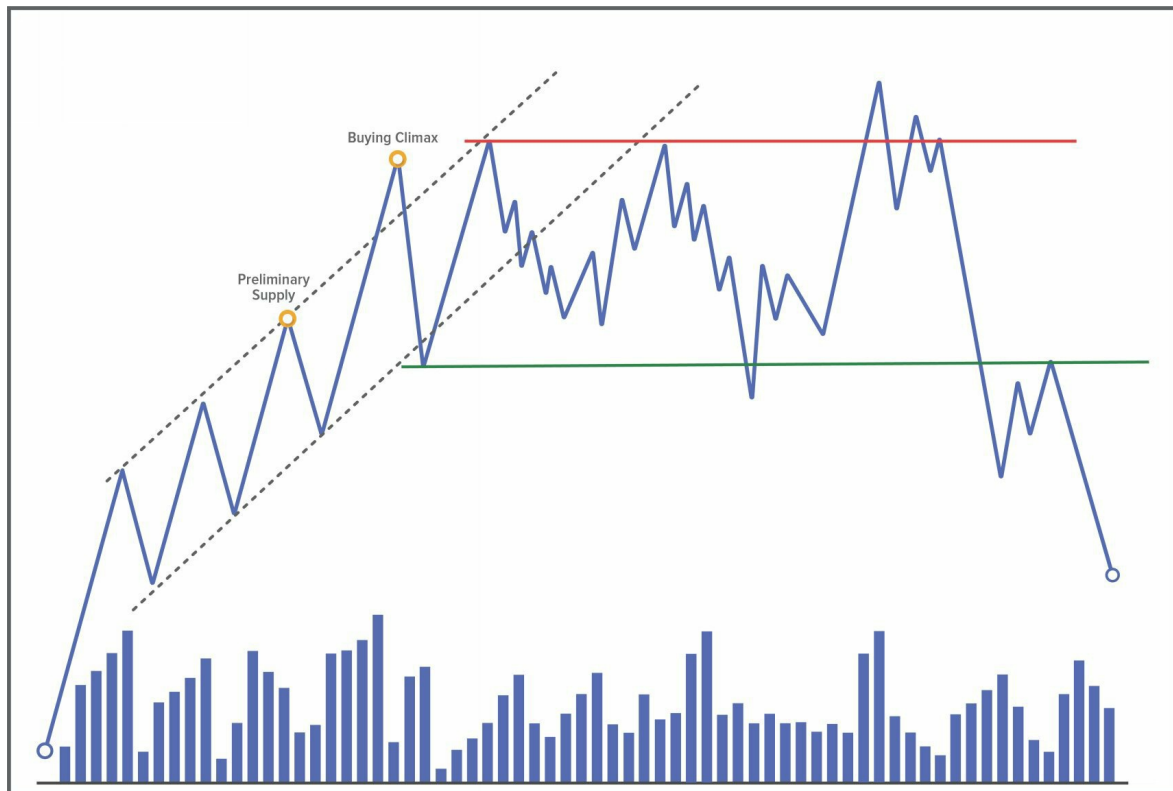
Climatic actions will be observed as the downward movement develops where the overall volume is likely to decrease. This suggests that there is an absorption of sales where professionals have stopped selling aggressively and begin to take advantage of the bearish continuation to take profits from their

shorts.

This can cause that market floor to develop without seeing above the last minimum an expansion in price ranges and volume. We will be before the new Selling Exhaustion.

Buying Climax

Buying Climax



Buying Climax is a powerful sign of market weakness. After an uptrend, the price, guided by favorable news and a buying irrationality on the part of the participants (ill-informed) will cause a rapid rise.

At this point, the market will have reached an uninteresting level to stay within, and well-informed traders will abandon their buying positions and even begin to position themselves short expecting lower prices.

The Buying Climax is the second event that appears after the Preliminary Supply and takes place within the Phase A stop of the previous bullish trend.

This climatic movement is originated by professional operators capable of initiating a price shift; and is followed by ill-informed operators who make their operational decisions generally on the basis of their emotions.

It's a trap. A deception where it seems that one is buying with a certain aggressiveness when in reality the intention behind it is totally the opposite. All purchases are being blocked with sales orders. The price cannot go up because someone with the ability to do so is absorbing all that stock.

With the appearance of the Buying Climax we begin to define the limits of the range; and it is that its maximum establishes the upper end of the structure (zone of resistance).

The similarities between Preliminary Supply and Buying Climax are total. Both the way it can appear on the graph and the psychology behind the action is exactly the same. The only difference between the two events is that Preliminary Supply fails to stop the previous uptrend, while Buying Climax does (at least temporarily).

Initially we must treat the Buying Climax as potential, since the confirmation will come to us when the two subsequent events appear confirming the end of Phase A (Automatic Reaction and Secondary Test).

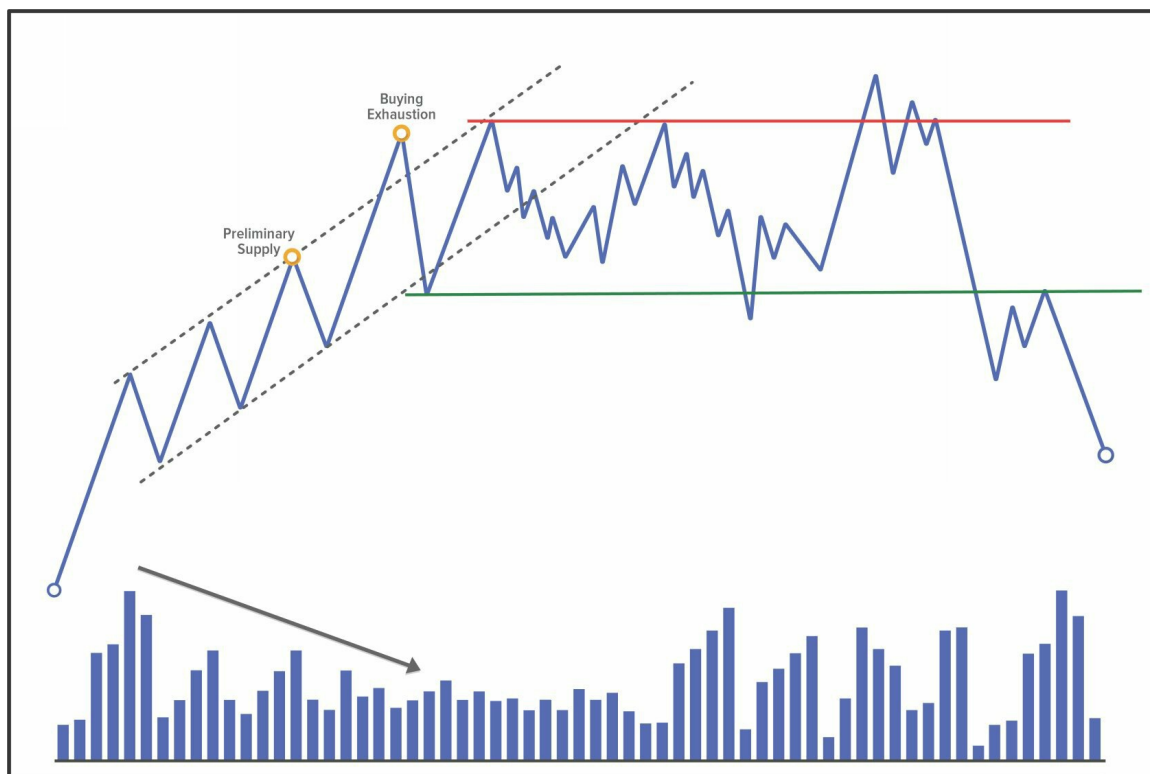
The Buying Climax of exhaustion

An upward trend will not always end with a climatic volume. There is another way to come to an end and it occurs when the purchase that is controlling the condition of the market is gradually disappearing.

Buyers stop being interested in higher prices and close their positions (take profits). This lack of aggressiveness of the lengths would create a potential market ceiling due to exhaustion.

Obviously, this disinterest will be represented on the chart with candles of normal or narrow range and average or even low volume.

Buying Exhaustion



Although this action does not have the common characteristics of climatic events, within the methodology it is still labelled in the same way. That is why it would be interesting to differentiate between a climax stop and an exhaustion stop.

The proposal that is launched to the Wyckoffian community is the creation of a new event that serves to identify this end of the upward trend due to exhaustion. In this case, "Buying Exhaustion" seems to us to be the most suitable label.

One sign that we are possibly going to identify a Buying Exhaustion is the appearance of continuous higher and higher Preliminary Supply actions.

Preliminary Supply potentials will be observed where overall volume is likely to decrease. This suggests that there is a gradual absorption of purchases where professionals have stopped buying aggressively and begin to take advantage of the bullish continuation to take profits from their lengths.

This can cause that market ceiling to develop without seeing above the last maximum an expansion in price ranges and volume. We'll be looking at the new Buying Exhaustion.

Chapter 16 - Event #3: Reaction

After the appearance of the potential climax, there will be an automatic reaction that will visually leave a large movement in the opposite direction, thus confirming the climatic event.

This movement will be the most important since the market began the previous trend Phase. It suggests an aggressive entry of operators in the opposite direction and indicates a change of character.

This ChoCh (Change of Character) has great implications and is that it signals a change in the context of the market; the ChoCh appears to put an end to the previous trend and start an environment of lateralization in the price.

This change in behaviour must be confirmed with the last event of Phase A: the Secondary Test. With its appearance, we can confirm the new environment in which the market will move from that moment on.

The implications of its development

The distance travelled by this movement will be one of the elements we will take into account later on as the structure develops in order to try to determine what the great professional is doing.

We must bear in mind that a short-distance reaction does not have the same implications as a significantly (in comparative terms) larger one.

For example, in a market where the latest upward movements have developed with an average of 50 points; and suddenly you see an Automatic Rally of 100 points, it suggests a stronger bottom.

It will be one of the elements that we will take into account later on as the structure develops in order to try to determine what the great professional is doing.

When we see a movement that is intertwined, does not travel a great distance and without the appearance of a high volume, denotes that there is no great intentionality to push prices that way and suggests to us that the market is not yet in a state of equilibrium. Very possibly the later Secondary Test will be developed relatively soon and may go beyond the limits of the structure, denoting this imbalance.

If we observe this behaviour in a potential accumulation structure, we have to doubt that what is really taking place in the market is an accumulation for a later price increase. With this apparent weakness it will be more sensible to think of a process of redistribution that leads to lower prices.

The same is true for analyses that denote a greater probability of distribution. If we see that the downward movement (AR in distribution) is intertwined, that it does not travel a great distance, that we have not seen a volume peak and that in addition the Secondary Test ends above the maximum established by the Buying Climax, we suspect that what is happening is a reaccumulation structure.

The anatomy of the reaction

Generally, the volume at the beginning of the movement will be large, we are at the end of the climatic event and it is normal that this price shift is made with a climatic volume (except for the appearance of Selling/Buying Exhaustion). As the movement progresses, the volume will decrease until it is relatively low in the end. This drying of the volume suggests a lack of interest in continuing to rise and will put an end to the Automatic Rally/Reaction.

With price ranges practically the same thing happens. At the beginning of the movement we will observe wide ranges, good candles/trend bars that will progressively narrow as they approach the end of the event.

Through continued practice you will develop the judgment necessary to know when the narrowing of ranges and the decrease in volume have reached a point at which movement is likely to stop. There are no fixed or mechanical rules, it's more a matter of judgment.

Reaction Uses

Delimits the limits of the structure. Within the structures of the Wyckoff methodology, it is one of the important elements since its end serves to identify one of the limits of the structure.

- The Automatic Rally establishes the upper limit of the range, delimiting a clear zone of resistance over which new sales are expected to appear in subsequent visits.
- The Automatic Reaction establishes the lower limit of the range,

delimiting a clear support area over which new purchases are expected to appear in subsequent visits.

Identifies the climate event. The reaction is important as it will sometimes be unclear when the genuine climax has appeared. Therefore, on many occasions we recognize climate action after identifying the character change that follows this reaction.

- The Automatic Rally will identify the genuine Selling Climax.
- The Automatic Reaction will identify the genuine Buying Climax.

It provides us with the market context. After observing events 2 (Climax) and 3 (Reaction), we identify the change of character (ChoCh) of the market and we know that the price will test that climate action to develop the Secondary Test. We already have a market map. As we always say, this is very important because it provides us with an operational opportunity.

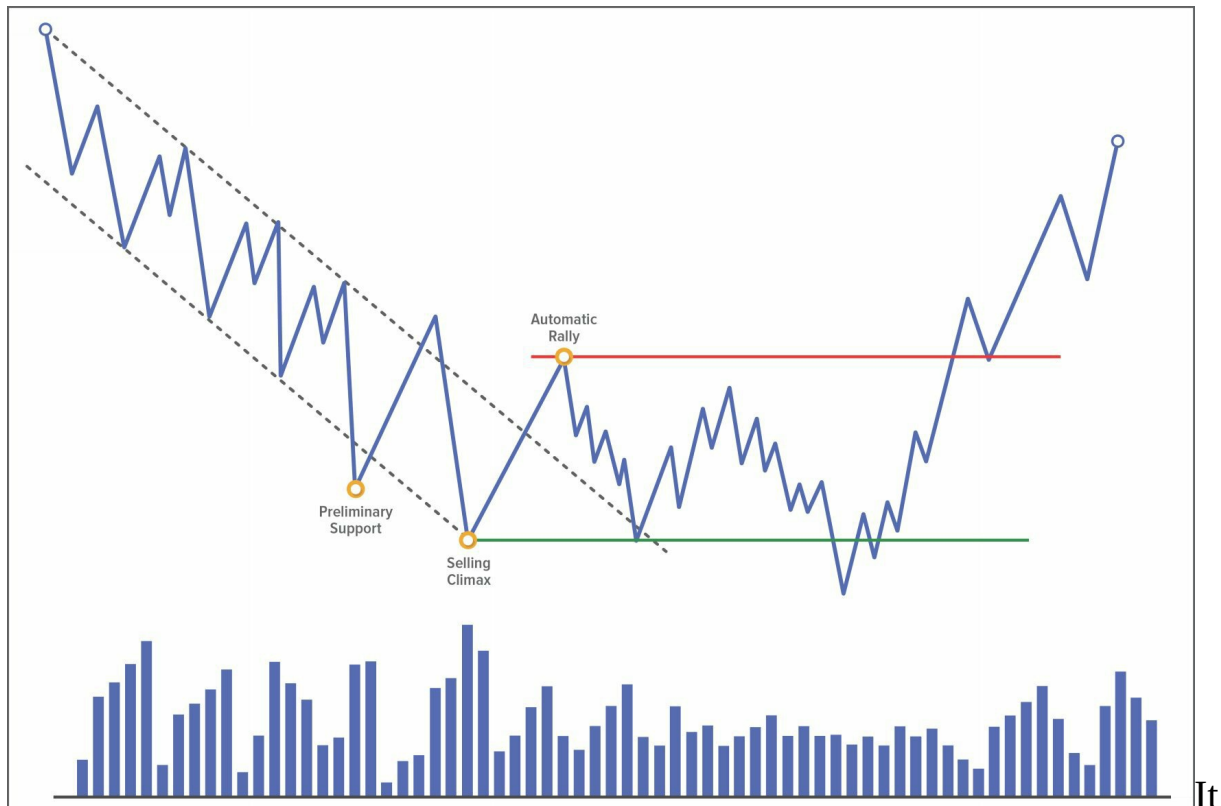
- If you have correctly identified the Selling Climax and now the Automatic Rally, you can download the timeframe to look for the development of a minor distribution structure that generates the end of Automatic Rally and the bass turn that will look for the development of the Secondary Test.
- If you have identified the genuine Buying Climax and now the Automatic Reaction, you can download the timeframe to look for the development of a minor structure of accumulation that generates the end of Automatic Reaction and the bullish turn that will look for the development of the Secondary Test.

Opportunity to take benefits. If in an exercise of recklessness you operated on the climatic event seeking precisely that rebound, this position should not be maintained throughout the development of the range, since in principle we cannot know whether it will be a structure of rotation or continuity. The most sensible thing would be to close the position on the Automatic Rally/Reaction obtaining the benefit of a Scalp.

Automatic Rally

The Automatic Rally is an upward movement of the price that develops after the end of the Selling Climax and that appears as the first signal of the buyer interest.

Automatic Rally



It is an event that is part of the Phase A stop of the previous trend and takes place after the Preliminary Support and the Selling Climax.

Why the Automatic Rally takes place

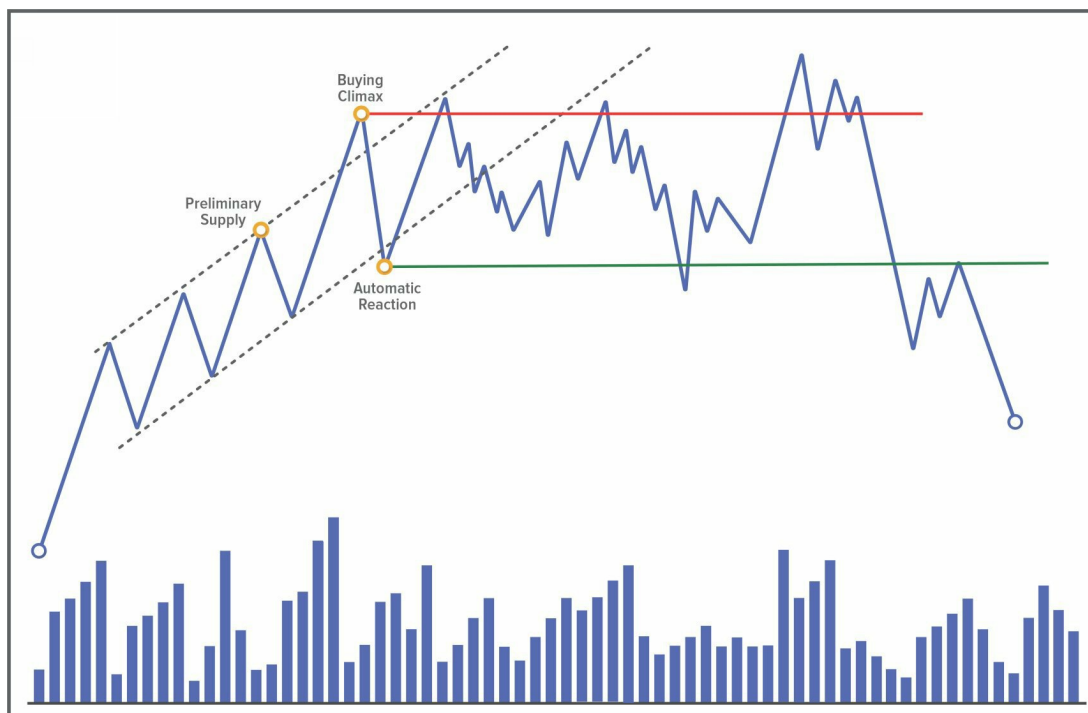
During the downward trend the price will have moved down a considerable distance and possibly reach a condition of overselling in the development of the Selling Climax where the following actions take place:

- **Exhaustion of the offer.** Aggressive sellers stop entering the market
- **Coverage of shorts.** Vendors who would have entered higher close their positions
- **Appearance of the lawsuit.** New buyers enter by observing the climate event

The market has reached uninteresting levels to continue selling, which will lead to a lack of supply. The withdrawal of sellers, both those who stop selling aggressively, as well as those who take profit from their shorts; together with the emergence of new buyers, who may have entered with reversal strategies to the average, will cause an easy push up prices.

The most normal thing is that buyers who have entered the Selling Climax do not intend to maintain their positions, since it is probably Scalp operations (short duration) and take profits during the Automatic Rally, putting an end to its development.

Automatic Reaction



Automatic Reaction

The Automatic Reaction is a significant downward price movement that appears as the first sign of selling interest. It is part of Phase A of the previous trend and develops after the Preliminary Supply and Selling Climax.

Why Automatic Reaction Occurs

The market will have moved upwards enough to produce a series of events that together give rise to the development of Automatic Reaction:

- **Exhaustion of demand.** There are no aggressive buyers willing to keep buying.
- **Length coverage.** Buyers who would have entered below close their positions by taking profits.
- **Appearance of the offer.** New vendors enter by observing the previous weather event.

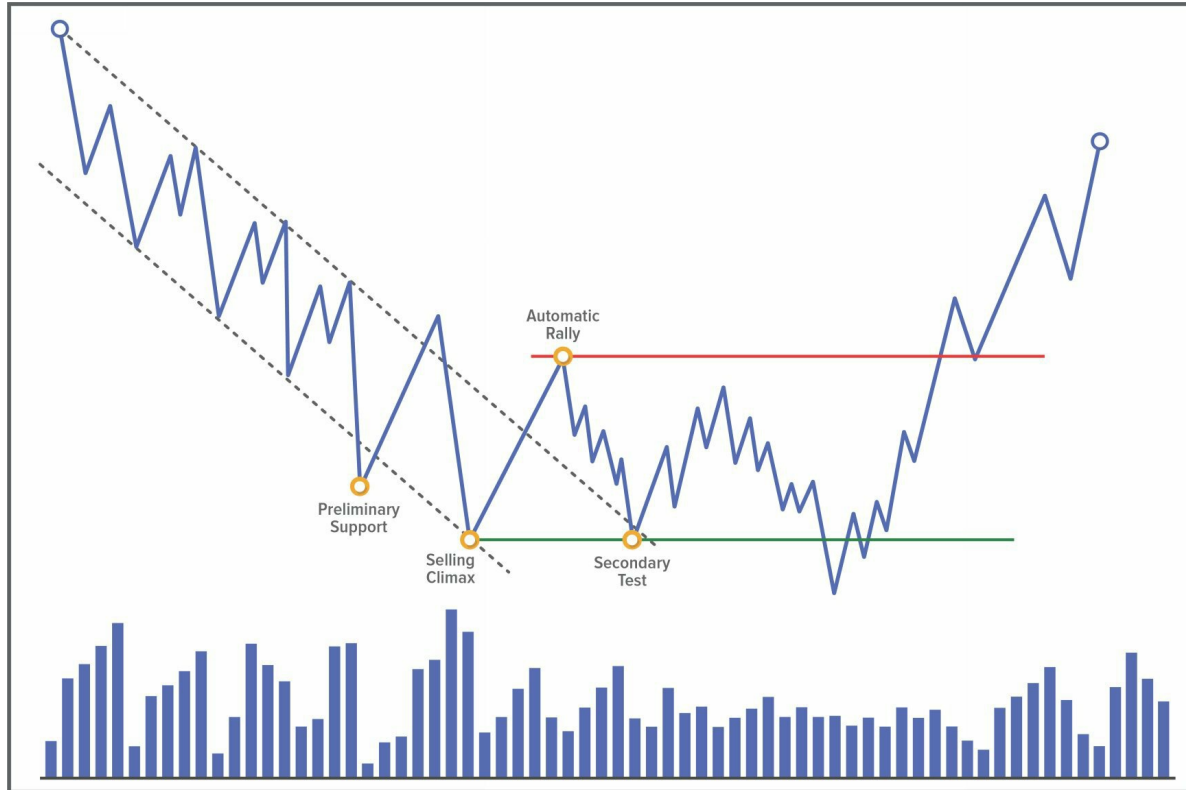
The previous market rally may have reached an overbought condition causing a lack of demand. This withdrawal of buyers, both those who stop buying aggressively, and those who take profit from their lengths; together with the emergence of new sellers will cause an easy push down prices.

Sellers who have entered the Buying Climax are surely speculating looking

for a quick downward movement and will take profits during the Automatic Reaction, putting an end to its development.

Chapter 17 - Event #4: Test

Secondary Test



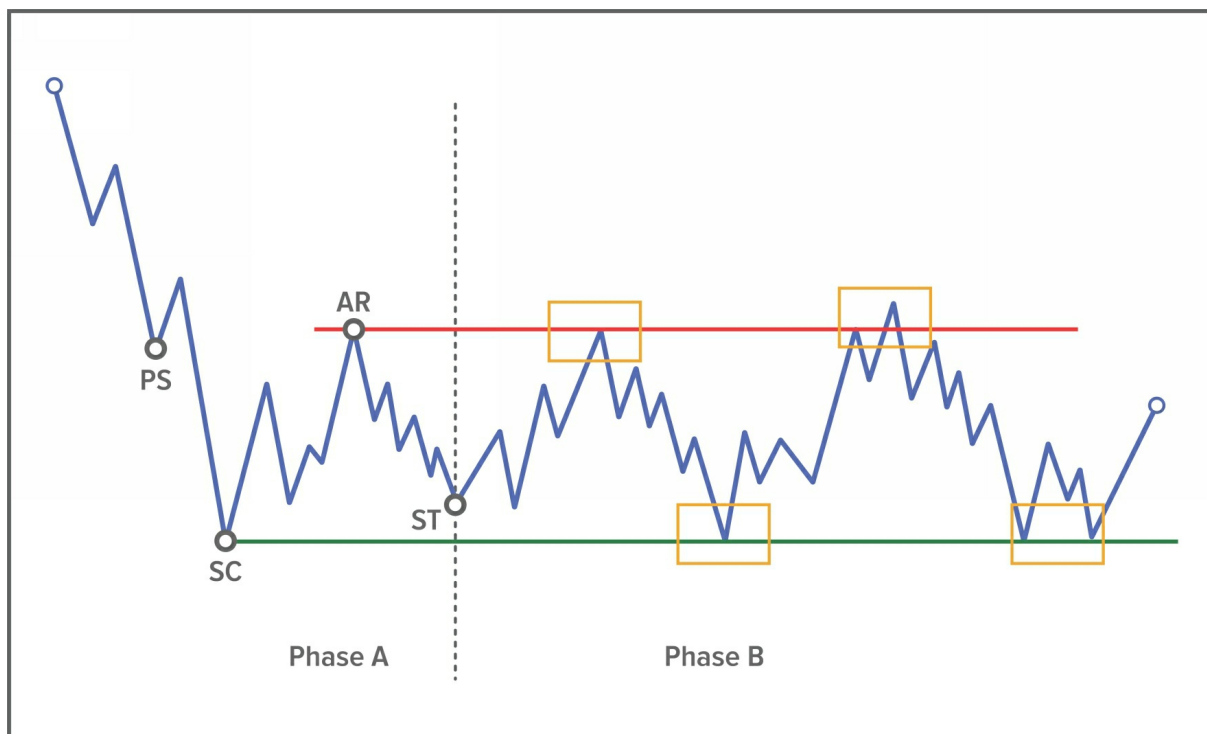
The Secondary Test is the fourth event within the cumulative schemes of the Wyckoff methodology. Establishes the end of Phase A, stopping the previous trend, and gives rise to the beginning of Phase B, construction of the cause.

Secondary Test

Functions of the Secondary Test

As with every event, one of the important points of its identification is that it identifies us with the context of the market; it gives us an indication of what to expect from now on. In this case, we went from being in a context of a downward trend to migrate to a context of lateralization in price.

Trading in Phase B



This is very interesting since, as we know, the price behavior within Phase B will be a continuous fluctuation up and down between the limits of the structure.

With this background context, the type of trading that we will be able to develop here is to wait for the price at these extremes and look for a turn to the opposite side. Either directly from the time frame in which we are working with some configuration of candles, or reduce the time frame to look for a smaller structure of rotation there (if we are in the upper zone, we will look for a smaller structure of distribution, and if we are in the lower zone, we will look for a smaller structure of accumulation).

In functional terms what the Secondary Test suggests to us is the confirmation of abandonment by aggressive sellers who have been pushing the price lower and lower during the development of the downward trend; to evolve into an equilibrium environment where buyers and sellers are comfortable negotiating (building the cause for the subsequent effect).

Secondary Test Features

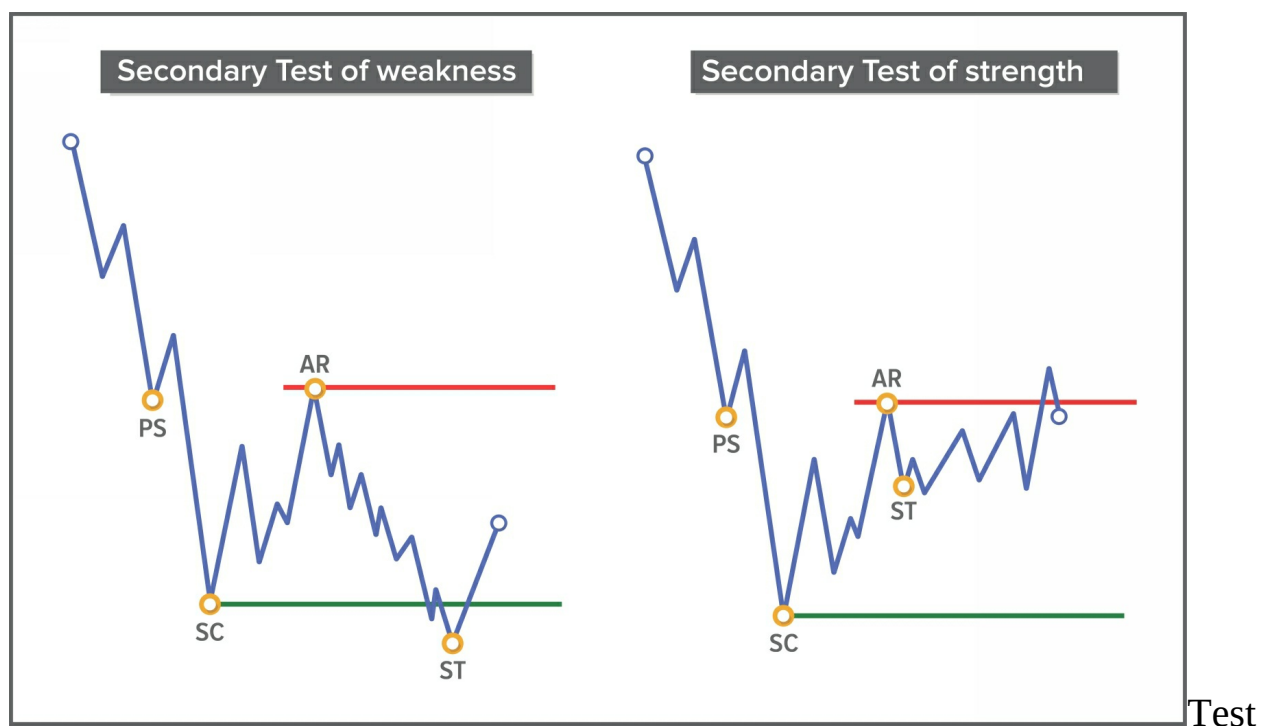
For the Secondary Test to be successful, the bearish movement must be made with a narrowing in the price ranges and a smaller volume than that seen in

the Selling Climax.

Although some authors defend the position that it is necessary for the Secondary Test to be kept above the minimum established by the Selling Climax, the truth is that it is a good moment to remember that the market is not a rigid entity, but that it is in constant change due to its own nature and that therefore it would be convenient to grant certain flexibility to the price movements.

With this in mind, we can attribute that a Secondary Test above the minimum Selling Climax would be seen with a neutral connotation when identifying which side (buyers and sellers) have more control of the market. So, it would be a good way to identify a certain imbalance on the part of buyers if the Secondary Test we see is performed over the upper half of the range; and it would likewise identify a certain imbalance in favor of sellers if the Secondary

Types of Secondary Test



ends slightly below the Selling Climax.

This characteristic, together with the rest of the elements that have been commented on, as well as those that will follow, is an indication to take into account when assessing whether we are dealing with a cumulative or

distributive structure. It is a question of putting the greater probability on our side and therefore, the more of these signs in favour of a direction, the greater strength our analysis will have.

The really important thing to look at is, in order of importance: the decrease in volume and the narrowing of the ranges. As we know, volume reflects activity and therefore, low activity after a climatic event denotes a lack of interest in that side.

The Secondary Tests of Phase B

Although the "official" Secondary Test is the one that appears in Phase A, it is a type of behaviour that we will continue to observe in different Phases of the development of the structure.

Once Phase B has begun, we are going to be awaiting any type of test on one of the two extremes of the range.

This type of test allows us to evaluate the strength and weakness of buyers and sellers. Occasionally, tests will even be performed at both the top and bottom ends of the structure.

Depending on the subsequent effect of the range (whether it is cumulation or distribution), the tab pages are differentiated for the same actions. As it is logical, until the price does not leave the range we cannot know what was the real intention behind the cause that was being constructed and therefore, in real time any labelling should be valid.

Beyond seeing the market in a conventional way, we will also think in terms of functionality and differentiate price behaviors from two points of view: as a concept (action) and as an event (depending on the location).

Secondary Test on the upper end

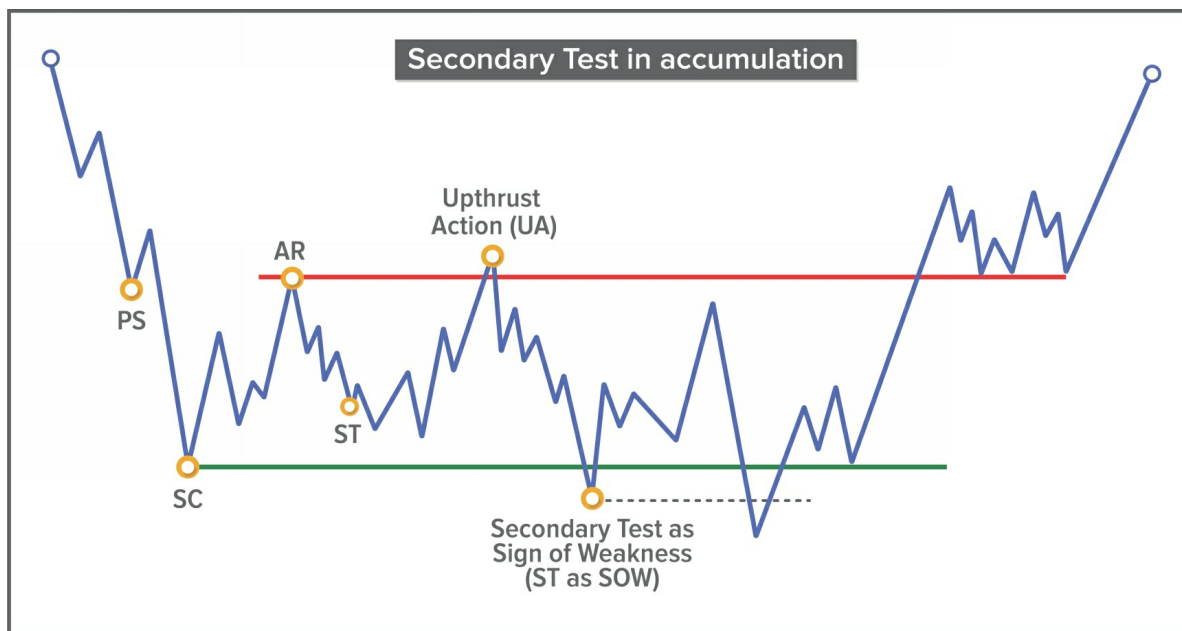
The price passes through the previous maximum created in the stop action but does not move too far away before re-entering the range, leaving a slight Shake.

Initially it is a movement that denotes background strength as the price has been able to penetrate the resistance zone of the range; and this could not happen if there were no aggressive buyers present.

A subsequent evaluation will confirm whether it is really a strength test in which stock has been absorbed (bought, accumulated) with the intention of increasing; or whether it is a share on which it has been distributed (sold) with the aim of bringing the price down.

This new maximum can be used to establish a new upper end on which to look for effective bullish rupture (in Phase D) or bearish shaking of the structure (in Phase C).

Secondary test in accumulation



When the range is accumulation/accumulation, this event will be labeled as **Upthrust Action (UA)**; while if it is a distribution or redistribution structure we will label it as **Upthrust (UT)**.

This is the only difference between these tags; if we believe with the clues that we have until now that the probability is in a cumulative range we will label it as Upthrust Action; and if we believe that there is more probability that it is being distributed we will label it as Upthrust.

When the UA occurs and the price remains above resistance for some time before falling, this behavior can be labeled as **minor Sign Of Strength (mSOS)**. It would be a kind of test that denotes greater strength.

Secondary Test on the lower end